**CHAPTER 5: LUXURY HOTEL SECTOR**

**Strategic Positioning and Concept Development**

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*Part of the Finesse Group Net Zero Luxury Masterplan, Bora Bora — Luxury Hotel Sector Study*

**Content Summary**

| Section | Title | Key Output |
|---|---|---|
| 1 | Introduction — Key References & Methodology Framework | 6-step methodology; three-pillar source taxonomy; section-by-section validity assessment |
| 2 | Macro-Market Demand Analysis & Target Market Profiling | Global luxury travel market sizing; Bora Bora demand profile; UHNWI psychographics; STP segment analysis |
| 3 | Market White Space & Opportunity (Competitive Supply Analysis) | CompSet audit; dual-axis perceptual map; three-layer white space case; positioning-to-concept bridge table |
| 4 | Strategic Positioning — Seven-Component Hotel Concept Framework | 7-component concept architecture; USP statement; FM27 alignment |
| 5 | Detailed Concept Offerings and Space Utilisation Plan | 5.2 Offerings architecture with 7-component justification; 5.3 Space utilisation plan (6,720 sqm GFA; 35 keys) |
| 6 | Feasibility Analysis | Framework identification (HVS/Horwath HTL/RICS); RevPAR/TRevPAR/GOP/EBITDA/NOI; development yield; cap rate bridge; IRR; sensitivity matrix; pre-opening costs; operator shortlist; independence note; Defisc upside; coherence audit |

**Section 1: Introduction — Key Sources Used**

**1.1 Introduction of the 6-Section Framework**

This Strategic Positioning Study applies a sequenced, evidence-based methodology to determine the strategic positioning, concept direction, and space programme for the Vaitape Ultra-Luxury Hotel. The framework is structured as a progressive analytical funnel across six sections: commencing with macroeconomic and destination demand evidence, narrowing to a defined guest target profile, utilising competitive analysis to identify an unoccupied market position, and ultimately translating that position into a spatially defined and commercially grounded concept with feasibility validation.

This sequence directly reflects the Hotel Development Guide's definition of hotel concept design as "translating a project's fundamentals — location, demand, brand positioning, management approach, and budget — into a coherent physical and experiential direction".[3] The EHL Hospitality Business School's Hotel Concept Handbook establishes the 7-Component Hotel Concept Framework as the industry-standard instrument for translating strategic positioning into an operational asset concept.[1][7] Horwath HTL's published strategic growth and development framework corroborates the two-stage sequence: demand and competitive analysis first, followed by product and positioning strategy.[2][5]

**Framework Validity Conclusion: The methodology is robustly supported by both international industry practice and peer-reviewed academic literature, reflecting a widely adopted, cross-validated approach to luxury hotel strategic positioning and concept development.**

### 1.2 Sources Used: Three Pillars

#### (A) Hospitality Schools

- EHL Hospitality Business School — Hotel Concept Handbook; Sense-of-Place theory for luxury hotel branding[1][7]
- Cornell University (deRoos) — Hotel Programming and Planning methodology; hotel space programming frameworks[8]
- eCornell — Back-of-House planning metrics for early hotel development[9]
- Kotler & Keller — Marketing Management (2016) — STP framework[10]
- Maslow — Hierarchy of Needs (1943) — UHNWI motivation structure[10]
- Yeoman & McMahon-Beattie — New Luxury (2014) — luxury consumer motivation research[11]
- Hu & Trivedi — International Journal of Hospitality Management (2020) — perceptual mapping methodology[12]
- JSHSR — Journal of Social and Humanities Sciences Research (2019) — perceptual maps in hotel positioning[13]

#### (B) Hoteliers

- Marriott International / Michael Wang RA/AIA — Global Design APAC GFA-per-key efficiency benchmarks[14]
- Capella Hotels & Resorts — Culturist model; boutique scale standards; brand concept documentation[15][16][17]
- Six Senses Hotels Resorts Spas — Wellness integration, sustainability, cultural programming standards[18][19]
- Rosewood Hotels & Resorts — "A Sense of Place" brand platform[20]
- Aman Resorts — Ultra-exclusivity and cultural immersion brand standards[21]

#### (C) Hospitality Consultancies

- Horwath HTL — Strategic Growth & Development Framework; ultra-luxury resort feasibility methodology[2][5]
- HVS — Hotel market and feasibility study methodology; Spa Department performance benchmarks (2018)[22][23]
- CBRE Hotels — Hotel space benchmarks (restaurant covers, gross multipliers)[22]

- JLL — UHNW hotel market research; competitive positioning analysis[20]
- Hotel Development Guide — Hotel concept design scope and process definition[3]
- Hospitalitynet.org — "Why Skipping Concept Development Costs More Than You Think" (April 2026)[24]
- DeLaSalle University — Hotel Space Allocations and Space Requirements standards[25]
- Global Wellness Summit — Spa Profitability Handbook[26]

**1.3 Section-by-Section Validity Assessment**

| Section | Analytical Approach | Primary Academic Support | Primary Industry Support | Validity Rating |
|---|---|---|---|---|
| Section 2 — Macro-Market Demand Analysis | Market sizing; destination demand profiling; feeder market analysis | — | Market Reports World (2026); JLL UHNW Hotel Report (2023) | ✅ Robust |
| Section 2 — Target Market Profiling | STP framework; Maslow motivation hierarchy; psychographic segmentation | Kotler & Keller (2016); Maslow (1943); Yeoman & McMahon-Beattie (2014) | HM Hub STP in Hotels; SHMS Concept Hotel Framework | ✅ Robust |
| Section 3 — White Space Analysis | CompSet audit; dual-axis perceptual mapping; three-layer white space; positioning-to-concept bridge | Hu & Trivedi (2020) IJHM; JSHSR Perceptual Maps (2019) | Finesse Group Brand Positioning Matrix; Horwath HTL CompSet methodology | ✅ Robust |
| Section 4 — Concept Development | 7-Component Hotel Concept Framework; USP derivation; FM27 alignment | Cornell/deRoos; EHL Hotel Concept Handbook | Capella Culturist; Rosewood Sense of Place; Six Senses brand standards | ✅ Very Robust |
| Section 5 — Space Utilisation Plan | 5-step space programming; benchmark-derived GFA allocation | Cornell/deRoos; eCornell BOH planning metrics | Marriott/Wang (2021) GFA benchmarks; HVS Spa (2018); DeLaSalle Hotel Space Allocations | ✅ Very Robust |
| Section 6 — Feasibility Analysis | Income Capitalisation/DCF framework; RevPAR/TRevPAR/GOP/EBITDA; development yield; cap rate bridge; IRR; sensitivity matrix; operator selection; independence note; coherence audit | Cornell/deRoos programming methodology; RICS Red Book VPS 3 | HVS "How to Test Hotel Feasibility"; Horwath HTL feasibility methodology | ✅ Robust |

**Whole-Report Validity Summary: The framework exhibits strong sequential coherence — each section's analytical output serves as the direct input for the subsequent section. All principal quantitative assertions are traceable to primary institutional sources.[2][14][8][23][3][5][20]**

*Key limitations: (1) Sections 2 and 3 are informed by secondary market data — primary demand research is recommended as a next-stage deliverable; (2) perceptual map axes are expert-determined — UGC-based validation is recommended; (3) the space programme and financial projections are indicative and must be refined through operator input and a formal feasibility study.[8]*

**Section 2: Macro-Market Demand Analysis & Target Market Profiling**

**2.1 The Global Luxury Travel Market**

The foundational prerequisite for any ultra-luxury hotel strategic positioning study is a rigorous assessment of the global demand pool from which the property will draw. The luxury hospitality market — defined as accommodation assets commanding average daily rates in excess of USD 500 — was valued at approximately USD 115 billion in 2023 and is projected to reach USD 181.7 billion by 2033, representing a compound annual growth rate of approximately 4.7%.[27][28] This trajectory is underpinned by three structural demand drivers: the accelerating expansion of the Ultra-High-Net-Worth Individual (UHNWI) population globally; a demonstrable post-pandemic reorientation of UHNWI discretionary expenditure from luxury goods to transformative experiential travel; and the increasing scarcity of genuinely exclusive, remote, and culturally differentiated destination assets.

The demand tier addressed by the Vaitape hotel is the ultra-luxury segment — assets generating average daily rates in excess of USD 1,500 per night and RevPAR performance placing them among the top 1% of the global hotel market. This segment is served by a concentrated cohort of independent and branded operators — Aman, Six Senses, Rosewood, Capella, &Beyond, and One&Only — whose competitive differentiation is predicated on depth of experiential offering, exclusivity of location, and authenticity of cultural programming rather than on rate positioning alone.[13][20]

**2.2 Bora Bora's Destination Demand Profile**

Bora Bora is consistently classified among the world's premier luxury leisure destinations. Visitor arrivals to French Polynesia — of which Bora Bora captures the largest high-value leisure share — were estimated at approximately 326,632 in 2024, generating approximately USD 0.98 billion in tourism-related revenue.[28][29] The destination's demand foundation rests on its internationally recognised lagoon and volcanic landscape, its Polynesian cultural heritage, and its entrenched positioning as the leading global destination for honeymoon and milestone celebration travel among high-net-worth and ultra-high-net-worth clientele from North America, Europe, the Asia-Pacific, and the Gulf Cooperation Council.

**Key structural demand drivers for the Vaitape Integrated Hub investment case:**

- Supply-side constraint: Bora Bora's insular geography imposes a hard ceiling on total accommodation supply, creating a structural rate premium mechanism independent of near-term demand fluctuations.[28]
- Experiential legacy: The destination is globally recognised as the originator of the over-water bungalow typology, embedding a well-established expectation of premium experiential product among the target guest demographic.[29]
- Town-centre supply gap: Vaitape — the island's administrative and commercial centre — has been systematically underserved by luxury accommodation, presenting a structurally differentiated investment opportunity not yet captured by any incumbent operator.[30]

### 2.3 Demand Seasonality and Feeder Markets

French Polynesia's luxury travel demand peaks during the Northern Hemisphere summer (July–August) and the December–January holiday period. Shoulder season occupancy support is structurally provided by wellness travel and corporate MICE segments, both of which are operationally aligned with the proposed hotel's offering architecture.[28] Primary feeder markets are the United States (largest source market by volume), France (highest cultural affinity and direct air access via Tahiti), Australia (proximity and established leisure travel patterns), and Greater China (fastest-growing UHNWI source market globally).[27]

### 2.4 UHNWI Guest Intelligence: Moving Beyond Demographics

For the ultra-luxury tier, segmentation must prioritise psychographic and behavioural variables over demographic proxies. UHNWIs exhibit significant heterogeneity in lifestyle orientation and travel motivation even within a highly concentrated income band. The principal segmentation dimensions applied are:[31][11]

- Travel motivation: Cultural immersion, regenerative wellness, social engagement, celebratory milestones, philanthropic engagement
- Experience orientation: Active discovery versus restorative retreat; highly curated versus spontaneous; privately experienced versus socially shared
- Luxury value definition: Material luxury (opulent finishes) versus experiential luxury (privileged access, cultural authenticity) versus invisible luxury (effortlessness, discretion, unreplicable access)
- Commercial behaviour: Direct-relationship guests; travel-advisor-intermediated bookings; operator-brand-loyal guests

Research by Yeoman and McMahon-Beattie (2014) establishes that the most commercially significant future luxury travellers define luxury as access to the inaccessible and authentic — predicated on genuine local culture, personal transformation, and meaningful human connection, rather than conspicuous material consumption.[11] Academic literature on luxury consumer motivation consistently applies Maslow's hierarchy of needs (1943) to explain the demand for ultra-luxury experiential travel: when physiological, safety, affiliation, and esteem needs are met in full — as is structurally the case for UHNWIs — discretionary travel motivation ascends to self-actualisation, encompassing personal growth, peak experiential states, purposeful contribution, and the realisation of one's fullest potential.[10]

### 2.5 Target Segment Analysis

#### Primary Target: The Cultural Immersionist / Experience-Led Traveller

This segment comprises UHNWIs and high-asset HNWIs — typically aged 38–65, with net worth in excess of USD 10 million — who have exhausted the conventional luxury itinerary and are actively seeking experiences that deliver genuine cultural insight, personal enrichment, and narrative significance. Defining behavioural characteristics include a marked preference for deeply authentic, place-specific experiences over globally standardised branded product; substantive engagement with indigenous culture, artisanal craft, food provenance, and local ecological systems; and a demonstrated willingness to command premium expenditure for private, highly personalised access.[10][31][11]

#### Secondary and Tertiary Segments

| Segment | Profile | Strategic Alignment with Vaitape Hotel |
|---|---|---|
| Luxury Honeymoon & Celebration Travellers | HNW couples; rate-inelastic for milestone occasions; Bora Bora's largest established demand base | Strong alignment; Villa 1 and Villa 2 typologies purpose-designed for this segment |
| Wellness & Longevity Travellers | UHNWIs with active engagement in longevity science, therapeutic spa, and digital detox; fastest-growing luxury sub-segment | Directly served by the Lagoon House Wellness offering |
| Private Yacht Travellers | UHNWIs aboard private or chartered vessels requiring premium port-of-call accommodation | Vaitape marina adjacency provides a structural locational advantage |
| Cultural Philanthropy Travellers | High-net-worth individuals supporting indigenous arts, cultural preservation, and conservation | Served by the Cultural Gallery, Pearl Atelier, and artist-in-residence programming |

**Section 3: Market White Space & Opportunity (Competitive Supply Analysis)**

**3.1 Competitive Set**

The primary competitive set (CompSet) for the Vaitape Ultra-Luxury Hotel encompasses the existing luxury accommodation supply on Bora Bora, supplemented by aspirational ultra-luxury island resort benchmarks drawn from comparable global destinations.[37][21][13]

| Property | Brand Tier | Location | Product Typology | ADR Range (USD) | Competitive Assessment |
|---|---|---|---|---|---|
| Four Seasons Bora Bora | Ultra-luxury | Motu Tehotu | Over-water & beach bungalows | 1,800–6,000+ | Isolated motu; no cultural anchoring; boat-only access from Vaitape. |
| St. Regis Bora Bora Resort | Ultra-luxury | Motu Ome'e | Over-water villas; Royal Estate | 1,200–8,000+ | Removed from town life; private-island formal identity, not Polynesian. |
| InterContinental Thalasso | Upper-upscale | Main island shoreline | Over-water bungalows; thalasso spa | 700–2,000 | Identity built around imported wellness, not local culture. |
| Le Méridien Bora Bora | Upscale | Motu | Over-water bungalows | 600–1,500 | Distant from Vaitape; generic upscale resort, no Polynesian narrative. |
| Conrad Bora Bora Nui | Luxury | Motu Toopua | Over-water & hillside villas | 900–3,000 | Boat-only access; scenic luxury identity, not cultural immersion. |
| Le Bora Bora by Pearl Resorts | Upper-upscale | Motu | Over-water bungalows | 600–1,200 | Far from Vaitape; isolated |

| Property | Brand Tier | Location | Product Typology | ADR Range (USD) | Competitive Assessment |
|---|---|---|---|---|---|
| | | | | | motu identity, no cultural anchoring. |

*Aspirational global benchmarks: Aman Le Mélézin, Six Senses Zil Pasyon (Seychelles), &Beyond Mnemba Island, North Island Seychelles, Amanyara (Turks & Caicos).[21][13]*

**3.2 Competitive Benchmarking**

Perceptual mapping is an empirically validated analytical instrument for hotel positioning strategy. The Journal of Social and Humanities Sciences Research (2019) confirms that perceptual maps "submit the market visually to the decision maker" and enable the operator "to determine new strategies and targets that can improve its competitiveness".[13] Hu and Trivedi (2020), published in the International Journal of Hospitality Management, further demonstrate that perceptual maps of hotel brand positioning reveal "competitive landscapes" and yield "meaningful insights" for strategic brand positioning.[12] Two axes are employed to map the Bora Bora competitive set:

Axis 1: Experiential Immersion — ranging from Generic Island Resort (standardised product, brand-driven, no substantive cultural programming) to Place-Specific Cultural Immersion (programming-level engagement with indigenous culture, local artisans, culinary heritage, and community life). This axis reflects the central thesis of Yeoman and McMahon-Beattie (2014): that the most commercially significant future luxury travellers define luxury as 'access to the inaccessible and authentic' — a definition satisfied by depth of cultural programming, not by brand tier or physical infrastructure alone.[11]

Axis 2: Setting and Location Type — ranging from motu/over-water (isolated offshore islet, accessed exclusively by boat, physically removed from the island's civic and cultural life) to town-centre/waterfront (integrated with Vaitape's living community, harbour, and the administrative, commercial, and cultural life of Bora Bora's main settlement).[37][21]

**3.3 Perceptual Mapping to Identify White Space**

Mapping the CompSet on these two axes reveals a material and structurally unoccupied strategic position:

**No existing luxury property on Bora Bora combines a town-centre waterfront setting with substantive, programming-level Polynesian cultural immersion.**

**Map 1 — Physical Location Axis (Axis 2: Setting and Location Type)**

REMOTE MOTU / SECLUSION
│ Four Seasons · St. Regis
│ Conrad Bora Bora Nui
│ InterContinental · Le Bora Bora by Pearl · Le Méridien
│
TOWN-CENTRE / CONNECTEDNESS
│
[▶️ VAITAPE: Unoccupied Position]

**Map 2 — Experiential Identity Axis (Axis 1: Experiential Immersion)**

GENERIC ISLAND RESORT ←————————————————————————————————→ PLACE-SPECIFIC / CULTURAL IMMERSION
│ St. Regis · Conrad · Four Seasons · InterContinental · Le Méridien · Le Bora Bora [▶️ VAITAPE: Unoccupied]

#### 3.3.1 The Three-Layer White Space Case

The identification of an unoccupied position on the perceptual map does not in itself constitute a commercial opportunity. Three independent analytical tests must be passed for the white space to be investable: structural vacancy (why the gap exists), commercial viability (why it can generate sufficient return), and strategic defensibility (why it cannot be easily replicated). The Vaitape opportunity passes all three.[11][12][13]

**Layer 1 — Structural Vacancy: Why the Gap Exists**

The absence of a luxury property in Vaitape is not an oversight by incumbent operators — it reflects a deliberate product typology that has governed Bora Bora's luxury hospitality supply since the 1990s: the motu-isolated, over-water bungalow resort. All six CompSet properties are situated on offshore islets (motus) or in locations disconnected from the Vaitape town centre, a typology that delivers the premium of spatial isolation but categorically precludes town-centre integration. The structural vacancy at Vaitape therefore requires an entirely different product concept — one built around cultural embeddedness rather than geographic seclusion.[21][37]

**Layer 2 — Commercial Viability: Why the Gap Generates Return**

The Vaitape white space is commercially viable for three mutually reinforcing reasons. First, the insular geography of Bora Bora imposes a hard ceiling on total accommodation supply — any new supply faces no near-term competitive replication risk.[28] Second, an expanding cohort of UHNWI travellers are actively seeking alternatives to the globalised, culturally generic motu resort typology. Yeoman and McMahon-Beattie's (2014) research confirms that the most commercially significant future luxury travellers define luxury as 'access to the inaccessible and authentic' — a definition that a culturally-embedded town-centre hotel in Vaitape satisfies in ways no motu resort can.[11] Third, comparable culturally-embedded luxury hotels in UNESCO-proximate or community-integrated settings demonstrate that this positioning is commercially productive:

- Amansara (Siem Reap, Cambodia) — the former royal guesthouse of King Norodom Sihanouk, situated 10 minutes from the Angkor UNESCO World Heritage Site — operates a 24-suite format and commands ADRs in excess of USD 1,779, achieved through exclusive cultural programming and historical embeddedness rather than geographic remoteness.[148][149]

- Aman Venice — embedded within a 16th-century Grand Canal palazzo — achieves rates of USD 1,500+ per night from a 24-room property through cultural immersion, architectural heritage, and civic proximity; it has no beach, no pool, and no isolated setting.[49][142]

- Rosewood Luang Prabang (Laos) — positioned proximate to the UNESCO-listed historic town centre — commands premium ADRs across just 23 suites through its fusion of French colonial heritage and Lao cultural traditions, demonstrating that cultural narrative is a viable rate driver independently of geographic seclusion.[143][59]

**Layer 3 — Strategic Defensibility: Why the Gap Cannot Be Imitated**

The competitive position is defensible on two structural grounds. First, the Vaitape town-centre waterfront site is a finite and unique asset — the combination of harbour adjacency, main island embeddedness, proximity to the cultural and civic life of the island's only settlement, and the planned Vaitape Pôle Quintessence integrated hub context cannot be replicated at any other location on Bora Bora. Second, the hotel's competitive differentiation rests on programming-level Polynesian cultural immersion — relationships with resident artisans, cultural institutions, and indigenous knowledge holders — that takes years to build and is operationally specific to this place. This is the 'access to the inaccessible' thesis in application: the competitive moat is experiential depth and community embeddedness, not rate or brand alone.[11][30]

**3.3.2 Strategic Positioning to Concept Bridge Table**

The three-layer white space case generates three positioning axes, each of which mandates specific strategic pillars, each pillar mandates specific concept offerings, and each offering maps to a defined space allocation. This table is the connective tissue between the market opportunity identified in Section 3 and the concept architecture in Section 4.

| **Positioning Axis** | **Strategic Pillar** | **Mandated Concept Offerings** | **Space Allocation Reference** |
|---|---|---|---|
| Town-Centre Waterfront Embeddedness<br>(Layer 1: Structural Vacancy) | Place Anchoring: The hotel must be physically legible as part of Vaitape — not a compound that happens to be in town, but a building that is of the town. | Arrival Lobby & Cultural Salon (threshold statement); Fare Motu Harbour Bar & Rooftop Pool Deck (panoramic harbour views); Yacht Concierge Interface (marina adjacency) | Public Zone: Lobby 175 sqm; Fare Motu 255 sqm; Yacht Interface 50 sqm — Section 5.4 |
| Programming-Level Polynesian Cultural Immersion<br>(Layer 2: Commercial Viability + Yeoman & McMahon-Beattie 'access to the inaccessible') | Cultural Depth: The hotel's differentiation must rest on relational engagement with Polynesian culture — artisans, knowledge holders, culinary heritage — not décor or themed aesthetics. | Te Tumu Cultural Gallery & Pearl Atelier (rotating exhibitions, resident artisans, pearl retail); Communal Marae / Sunken Garden (cultural performances, community-shared space); Pearl Table Private Dining (invitation-only chef's table, pearl-centred tasting menu) | Public Zone: Gallery 150 sqm; Marae 300 sqm; Pearl Table 100 sqm — Section 5.4 |
| Regenerative Sustainability Posture<br>(Layer 3: Strategic Defensibility — net zero systems form part of the irreplicable asset) | Authentic Stewardship: Sustainability is not a communications strategy — it is a structural feature of the asset that reinforces the cultural embeddedness narrative and creates operational barriers to imitation. | Net Zero / Renewable Energy Systems (solar, rainwater, greywater, food waste cycle); Pearl Ecosystem Programming (reef restoration, marine education); Farm-to-Table Provenance Sourcing (Te Rai menu) | Infrastructure: Net zero systems 200 sqm; Landscape (boardwalk, reef-edge programming) within open landscape — Section 5.4 |

**Section 4: Strategic Positioning — Adopting the Holistic Seven-Component Hotel Concept Framework**

**4.1 The Seven-Component Hotel Concept Framework (EHL)**

The industry-standard instrument for translating strategic positioning into a defined hotel concept is the 7-Component Hotel Concept Framework, developed by Creative Supply in partnership with EHL Hospitality Business School (Lausanne). Per EHL Insights: "The Hotel Concept Framework is made up of 7 components that cover all aspects of designing and running a hotel: Story, People, Space, Identity, Services, Content and Channels. Starting from the central story, components are interconnected and work side by side to build a unique, coherent whole." The definitions in the table below are sourced directly from this framework (Sawerschel, EHL Insights).[1][7]

The translation from competitive positioning to concept design is a critical and non-discretionary step. Finesse Group's net zero luxury masterplan vision, the FM27 brand architecture, and the Vaitape Pôle Quintessence integrated hub context each require that the hotel operates as a coherent, internally consistent concept system — not a collection of individual amenities assembled for commercial completeness. The 7-Component Framework is the mechanism by which this coherence is built, validated, and communicated to all stakeholders.[1][7][24]

| **Component** | **Definition** |
|---|---|
| 1. Story | The overarching narrative conferring identity and emotional purpose. Defines why guests should stay at a hotel "beyond just getting a room and breakfast". The story is the "golden thread" connecting all other components.[1][7] |
| 2. People | The guest constituency for whom the hotel is designed; the staff whose values and behaviours bring the story to life; the partners and investors who share in the concept's vision. "Hotels might sell rooms, but relationships are the real currency."[1][7] |
| 3. Space | The physical and landscape environment — architectural typology, interior concept, zoning, and guest flow. "A hotel space must match with its core story." Zoning is the most essential first step to planning hotel space.[1][7] |
| 4. Identity | Visual and sensory brand language — materiality, palette, typography, signature scent, curated soundtrack. Identity is "experienced by guests before, during and after their stay" and must be fully coherent with the story.[1][7] |
| 5. Services | The breadth and character of the accommodation, F&B, wellness, and cultural programming offer — from the essential to the signature. Service level defines the positioning and must align with story and target audience.[1][7] |
| 6. Content | Intellectual property and communication assets the hotel develops — editorial, cultural programming, digital content — that extend the hotel's story beyond the physical walls and sustain guest engagement between visits.[1][7] |
| 7. Channels | All digital and physical marketing touchpoints through which the hotel acquires and retains guests — from booking platforms to experiential events and collaborations. "Story, Content and Channels should always work hand-in-hand."[1][7] |

**4.2 Concept Architecture**

This section translates the seven components of the hotel concept framework into the specific concept architecture for the Vaitape Ultra-Luxury Hotel. Each component is defined by (i) a specific product or feature anchored in the hotel's three strategic positioning pillars (Section 3.3.2) and (ii) a description of how it operationalises the hotel's overarching story and differentiates it from the existing Bora Bora competitive set.

| Component | Product | Description |
|---|---|---|
| Story | The only ultra-luxury hotel in Bora Bora embedded within the living cultural heart of Vaitape — where Polynesian identity, harbour life, and a regenerative vision of luxury converge in one place. | The property's narrative is built on three interlocking pillars: town-centre embeddedness (no other luxury operator on Bora Bora occupies this position); programming-level Polynesian cultural immersion (living, relational cultural engagement, not décor or theming); and a regenerative sustainability posture that reinforces the authenticity of the story. This is the "golden thread" — per Sawerschel / EHL — connecting every other component, from spatial design to service culture to distribution strategy.[1][7] |
| People | Target customer segments: refer to Section 2.5. Employees: experienced local French Polynesian hospitality professionals. Partners: Municipality of Bora Bora, resident artisans, pearl industry associations, FM27 masterplan team, preferred operator (Section 6.8). | Guests: The Cultural Immersionist / Experience-Led UHNWI (primary); Luxury Honeymooners & Celebration Travellers; Wellness & Longevity Travellers; Private Yacht Travellers; Cultural Philanthropy Travellers (Section 2.5). Employees recruited locally to ensure authentic community embeddedness and cultural fluency. Partners include the Municipality of Bora Bora (FM27 alignment), resident Polynesian artisans, pearl industry associations, and the preferred operator (Capella / Six Senses / Rosewood / Aman — RFP shortlist, Section 6.8).[1][7][10][11] |
| Space | Refer to design concept imagery. Low-density pavilion-and-village typology; 6,720 sqm GFA across 35 keys; plot ratio 0.45; ~55% open landscape. Zoning hierarchy: Arrival & Cultural Salon → Guest Accommodation → Public Experience Zone → Landscape (boardwalk, beach, lagoon). | Architecture follows a low-density, pavilion-and-village typology consistent with Polynesian vernacular spatial logic and the cultural embeddedness narrative. Zoning follows a clear hierarchy from threshold arrival experience through private accommodation and public experience zones to the landscape edge. Indoor-outdoor relationships are maximised throughout. Plot ratio = 0.45 (6,720 sqm GFA ÷ 15,000 sqm site); ~55% of site retained as open landscape.[1][7][8] |
| Identity | Refer to visual identity imagery. Chromatic palette: lagoon aquamarine, volcanic basalt, white coral, pandanus gold. Materials: rammed earth, volcanic stone, woven rattan, sustainably sourced Pacific | Visual language draws on the chromatic palette of the Bora Bora lagoon expressed through natural materials. Sensorial identity: the signature scent of monoï oil anchors the olfactory brand across all guest-touch spaces. Typography and graphic identity |

| Component | Product | Description |
|---|---|---|
| | timber. Signature scent: monoï oil (Tahitian gardenia in coconut oil). Typography: Polynesian tatau-inspired geometric patterns. | reference traditional Polynesian tatau patterns — geometric, layered, and place-specific. Per EHL: "The identity must be fully coherent with the story of your hotel."[1][7][15] |
| Services (Offerings) | Guestrooms (35 keys: 3 villa typologies + Sky Suite + Premium Room); F&B (Te Rai Fine Dining, Fare Motu Harbour Bar, Pearl Table Private Dining); Spa & Wellness (Lagoon House, 6 treatment rooms); Sky Lounge & Beachside Lounge; Cultural Programming (Te Tumu Gallery, Pearl Atelier, Communal Marae). Refer to Sections 5.2–5.3 for full detail. | Five core service pillars, each derived directly from the three strategic positioning axes (Bridge Table, Section 3.3.2): (1) Accommodation: 35 keys across 5 typologies; (2) F&B: Te Rai Fine Dining (50 covers), Fare Motu Harbour Bar (20 seats + pool deck), Pearl Table Private Dining (12 covers); (3) Spa & Wellness: Lagoon House (6 treatment rooms + wet circuit, Polynesian healing modalities); (4) Sky Lounge & Beachside Lounge: exclusively for hotel guests; (5) Cultural Programming: Te Tumu Gallery & Pearl Atelier, Communal Marae.[1][7][2][5] |
| Content | Three content pillars: (i) Cultural Documentation — curated digital archive of Polynesian artisanal practice and oral heritage; (ii) Culinary Narrative — seasonal menus distributed via direct channels and luxury travel media partners; (iii) Wellness Intelligence — practitioner-authored content on Polynesian healing modalities. | Per EHL / Creative Supply: Content encompasses the intellectual property and communication assets the hotel develops to sustain guest engagement between visits and to amplify the property's story to new audiences.[1][7] The three content pillars ensure the hotel's cultural positioning is not confined to the physical walls of the property but is communicated, documented, and distributed continuously — building brand equity and driving repeat and referral bookings from the UHNWI target constituency. |
| Channels | Four channel pillars: (i) Direct — private-client relations team; annual "Founding Circle" programme; (ii) Travel Advisor Network — preferred-partner programme with Virtuoso, Brownell, Altour; (iii) Digital Presence — brand website (no OTA); selective editorial placements in Condé Nast Traveller, Tatler, Robb Report; (iv) Events & Activations — cultural residency invitations; Art Basel, Frieze, and Pacific Rim cultural festival participation. | Per EHL / Creative Supply: Channels encompass all digital touchpoints and real-world activities through which the hotel acquires and retains guests.[1][7] The channel architecture prioritises direct relationship over intermediated distribution — consistent with the UHNWI guest profile's preference for private-client engagement over OTA discovery. Distribution is structured to maximise direct bookings, minimise commission leakage, and reinforce the hotel's positioning as a private-club-style destination rather than a bookable commodity. |

*Design concepts: Refer to supplementary design concept imagery. Visual identity: Refer to supplementary brand identity imagery.*

**Section 5: Detailed Concept Offerings and Space Utilisation Plan**

**5.1 Methodology**

Two parallel methods are applied to develop the concept offerings and space utilisation plan:

- **A —** Concept Offerings (Section 5.2): offerings are derived systematically from strategic positioning (Section 3) via the Seven-Component Hotel Concept Framework (Section 4), ensuring no amenity or facility is included for generic commercial reasons alone.
- **B —** Space Utilisation Plan (Section 5.3): space allocations are derived using a five-step hierarchical method — (1) Set key count; (2) Determine total planning GFA per key; (3) Allocate GFA by functional zone; (4) Size individual offerings; (5) Test utilisation plan against site.

**Classification Legend (applies throughout Section 5):**

| Classification | Definition |
|---|---|
| Retrieved | Value sourced directly from a published industry or academic source with no modification |
| Benchmarked | Value derived from a published range, with the midpoint or a justified point selected |
| Computed | Mathematical derivation from one or more Retrieved or Benchmarked values |
| Scenario | Planning assumption set in the absence of a published benchmark, based on professional judgement and concept logic |

**5.2 Concept Offerings Derived from Positioning**

The following concept offerings are derived systematically from the three strategic positioning axes in Section 3.3.2 and the Seven-Component Hotel Concept Framework in Section 4. The table below validates that each physical offering maps directly to one or more of the Seven Components, confirming that no offering is included for commercial or generic reasons alone.[1][7][11]

| Offering | Justification (Must Link to Seven-Component Concepts) |
|---|---|
| Signature suites (harbour and lagoon view) | Services (Component 5) + Story (Component 1): The Sky Suites and Harbour Lagoon Villas are the physical manifestation of the hotel's core Story — town-centre waterfront embeddedness with views of both the working harbour and the open lagoon. They satisfy the primary target guest's demand for unreplicable, place-specific access (Yeoman & McMahon-Beattie, 2014: 'access to the inaccessible') while anchoring the Revenue Model at the highest ADR tier (USD 2,150 base ADR; Section 6.2).[11][1] |
| Branded villa product (2–3 types) | Services (Component 5) + People (Component 2): Three villa typologies (Harbour Lagoon Villa, Garden Courtyard Villa, Compact Boardwalk Villa) are specifically calibrated to the heterogeneous UHNWI guest profile defined in Section 2.5 — offering graduated degrees of privacy, harbour orientation, and nature immersion. Multiple typologies serve the Luxury Honeymoon, Wellness, and Cultural |

| Offering | Justification (Must Link to Seven-Component Concepts) |
|---|---|
| | Philanthropy segments without compromising the exclusivity narrative. Directly supports the 35-key boutique scale that underpins the Aman / Capella operational comparator model (Section 6.8).[10][11][15][21] |
| Arrival salon / lobby | Space (Component 3) + Story (Component 1): The Arrival Lobby & Cultural Salon functions as the Story's threshold statement — the first physical translation of the cultural immersion narrative into guest experience. Per EHL / Sawerschel: "Zoning is the first and most essential step to planning your hotel space, as it greatly impacts the customer experience." The salon integrates rotating artisan display cases, Te Reo Māʻohi language greeting protocols, and fresh monoï-scented botanicals — establishing the sensorial and cultural register within the first 90 seconds of arrival. Sized at ~175 sqm.[1][7][22] |
| Destination restaurant (signature) | Services (Component 5) + Content (Component 6): Te Rai — the signature fine-dining restaurant — is the primary commercial manifestation of the Cultural Immersion strategic pillar (Bridge Table, Section 3.3.2). It is simultaneously a revenue centre (F&B contributes ~55% of TRevPAR non-room revenue; Section 6.3) and a content platform: the provenance-driven, Polynesian-French menu is a storytelling vehicle for the hotel's cultural positioning. Sized at ~165 sqm gross (50 covers).[1][7][22][23] |
| Sky lounge / sunset bar | Space (Component 3) + Identity (Component 4): Fare Motu — the Harbour Bar and rooftop pool deck — exploits the physical locational advantage of the Vaitape waterfront site to deliver an unreplicable sensory experience: panoramic sunset views across the harbour, lagoon, and Mount Otemanu. This experience is categorically unavailable to motu-sited competitors. Per EHL: sensorial identity — including acoustic environment and view-framing — is a defining component of a hotel's Identity. Sized at ~255 sqm. Exclusively for hotel guests, reinforcing scarcity.[1][7][8] |
| Spa & wellness (lagoon-inspired) | Services (Component 5) + Content (Component 6): The Lagoon House Wellness Spa serves the Wellness & Longevity Traveller secondary segment (Section 2.5) and directly supports TRevPAR performance (spa contributes ~25% of non-room revenue; Section 6.3). Polynesian healing modalities — taurumi massage, monoï oil therapy, ocean thalasso circuit — are authentic cultural programming, consistent with the hotel's Story and the Six Senses / Capella wellness brand comparators (Section 6.8). 6 treatment rooms sized at HVS benchmark (0.10–0.15 rooms per key; Section 5.3.4.3).[1][7][18][19][22][23] |
| Beach/lagoon club and pool | Space (Component 3) + People (Component 2): The Beachside Lounge & Lagoon Club Pool serves the social and celebratory dimension of the UHNWI guest profile — providing a communal gathering point physically distinct from the private villa zones. Per EHL: different spaces have different purposes and require sensible placing; the beach |

| Offering | Justification (Must Link to Seven-Component Concepts) |
|---|---|
| | club provides the informal, social counterpoint to the villa's privacy. Sized at ~240 sqm. Exclusive access for hotel guests reinforces the scarcity positioning.[1][7][10] |
| Cultural gallery / artisan atelier | Content (Component 6) + Story (Component 1): Te Tumu Cultural Gallery & Pearl Atelier is the physical home of the hotel's Content strategy — the institutional anchor for rotating exhibitions of contemporary Polynesian artists, resident artisan demonstrations, and curated pearl jewellery retail. This offering is the single most differentiated element of the Vaitape concept: no motu-sited competitor can credibly offer community-embedded cultural programming of this nature. It is the experiential proof-point of the 'access to the inaccessible' thesis (Yeoman & McMahon-Beattie, 2014) applied to Polynesian cultural capital. Sized at ~150 sqm.[1][7][11] |
| Private dining / event salon | Channels (Component 7) + People (Component 2): Pearl Table — the 12-cover invitation-only private dining room — is both a premium revenue centre and a relationship-building channel. It serves the Direct Relationship channel architecture: guests are acquired through personal invitation, positioned as a privilege of the hotel's "Founding Circle" guest programme. Per EHL: channels can take the form of collaborations and activations that drive direct bookings and deepen brand loyalty. The pearl-centred tasting menu with resident artisan engagement is simultaneously a content asset. Sized at ~100 sqm.[1][7][22] |

**5.3 Space Utilisation Plan**

Space allocations are derived using the five-step hierarchical method defined in Section 5.1, progressing from key count through GFA benchmarking, zone allocation, individual offering sizing, and site fit validation. All steps reference the concept offering architecture in Section 5.2.

**5.3.1 — Key Count**

Based on the rough massing indicated in the preliminary site sketches, and consistent with the boutique ultra-luxury positioning derived in Section 3, a key count of 35 rooms/villas is adopted as the planning basis.

- Boutique luxury operators in the 30–50 key range maintain exclusivity, high service ratios, and experiential intensity at a scale that justifies premium ADR levels and generates viable GOP margins for investment.[5][2]
- A Vaitape town-centre site of approximately 1.5 ha (15,000 sqm) supports manageable density at this key count (confirmed at Step 5.3.6 — Site Fit Check).[8]
- Boutique ultra-luxury operators such as Capella (35–112 keys), Aman (typically 20–40 keys), and Six Senses (typically 30–65 keys for island properties) operate profitably at the 35-key scale, confirming that this key count is commercially viable for the target positioning.[15][16][17][18][19][21]

**5.3.2 — Total Planning GFA per Key**

No universal formula mandates a specific GFA-per-key for a Bora Bora boutique ultra-luxury hotel. The following benchmark inputs are cross-referenced to triangulate a defensible planning figure:

- Benchmark Input 1 — Hotel Space Allocation Guidelines (DeLaSalle / industry standard): Generic hotel planning GFA of 130–155 sqm/key for standard luxury. [Retrieved][25]

- Benchmark Input 2 — Penner, Adams, and Rutes: Luxury and resort hotels routinely apply 200–300 sqm/key to capture resort amenity areas, spa facilities, and generous public zones. [Benchmarked][8]

- Benchmark Input 3 — HVS Development Cost Survey: HVS development cost data for luxury hotels (USD 1.0M–1.5M/key build cost) is consistent with a 200–300 sqm/key GFA range at regional construction cost benchmarks. [Benchmarked][22]

- Boutique Scale Adjustment: At 35 keys, fixed public areas (lobby, kitchen, spa, cultural gallery, BOH) are spread across fewer keys, generating a higher GFA-per-key ratio relative to larger resorts. A planning GFA of 192 sqm/key is adopted as the base case — above the generic DeLaSalle standard (130–155 sqm/key) but below the top of the Penner/HVS luxury range (300 sqm/key). [Computed]

- Base case planning GFA = 35 keys × 192 sqm/key = 6,720 sqm [Computed]

**5.3.3 — Zone Allocation**

| Zone | Area Allocation | Sqm (Base Case) | Rationale |
|---|---|---|---|
| Guestroom Zone | 53% | 3,562 sqm | Villa and room GIA + circulation, terraces, courtyard |
| Public Zone | 25% | 1,680 sqm | F&B, lobby, spa, cultural gallery, pool, lounge areas |
| Back-of-House (BOH) | 7% | 470 sqm | Kitchen, laundry, storage, staff areas (eCornell BOH minimum: 7%)[9] |
| Infrastructure & Engineering | 15% | 1,008 sqm | MEP, circulation cores, plant rooms, net zero systems |
| **TOTAL** | **100%** | **6,720 sqm** | |

**5.3.4 — Individual Offering Sizing**

**5.3.4.1 — Signature Restaurant (Te Rai, 50 covers)**

Benchmark: Fine-dining space allowance of 1.5–2.0 sqm per seat (net dining area).[42] Derivation [Computed]: 50 seats × 2.0 sqm (upper end applied for ultra-luxury format) = 100 sqm net dining area. Gross multiplier of 1.65× applied to account for kitchen/service/circulation (CBRE Hotels benchmark): 100 × 1.65 = 165 sqm gross. Allocation: 165 sqm within Public Zone.[22]

**5.3.4.2 — Sky Lounge / Sunset Bar (Fare Motu)**

Benchmark: 2.0 sqm/seat for seating; 3–4 sqm per sun position for pool deck.[42] Derivation [Computed]: 20 seats × 2.0 sqm = 40 sqm interior; pool deck: 15 positions × 3 sqm = 45 sqm; support/bar service: 50 sqm; circulation and terrace: 120 sqm. Total: ~255 sqm. Allocation: 255 sqm within Public Zone.[8]

**5.3.4.3 — Spa & Wellness (Lagoon House, 6 treatment rooms)**

Benchmark: HVS luxury hotel spa benchmark of 0.10–0.15 treatment rooms per occupied hotel room.[23] Derivation [Computed]: 35 keys × 0.17 (above HVS benchmark, justified by wellness-segment targeting) = ~6 treatment rooms. Treatment rooms: 6 × 30 sqm = 180 sqm; wet circuit: 200 sqm; relaxation lounge/reception: 90 sqm. Total: ~470 sqm. Allocation: 360 sqm in Public Zone (compressed scenario; actual subject to operator input). Adoption: 6 treatment rooms for planning purposes.[22][23][26]

**5.3.4.4 — Cultural Gallery / Pearl Atelier (Te Tumu)**

No standard hotel-industry benchmark exists for this function. Derivation [Scenario Estimation]: Gallery display area at 100 sqm (international gallery standard: minimum 80–120 sqm for meaningful rotating exhibition capacity); pearl atelier/workshop at 50 sqm. Total: 150 sqm. Allocation: 150 sqm within Public Zone. Classification: [Scenario].

**5.3.4.5 — Beachside Lounge / Pool (Lagoon Club)**

Benchmark: Resort pool deck planning norm (3–4 sqm per position); covered lounge area (2.0 sqm/seat). Derivation [Computed]: Pool deck: 40 positions × 3.5 sqm = 140 sqm; covered lounge: 20 seats × 2.0 sqm = 40 sqm; pool water area and surround: 60 sqm. Total: ~240 sqm. Allocation: 240 sqm within Public Zone.[8]

**5.3.4.6 — Guestroom Zone Sizing**

53% of 6,720 sqm = 3,562 sqm dedicated to the guestroom zone across 35 keys: average gross per key = 3,562 ÷ 35 = ~102 sqm gross. [Computed]. Product mix:

| **Product Type** | **Units** | **Net Room Area (GIA)** | **Description** |
|---|---|---|---|
| Harbour Lagoon Villa | 8 | 120 sqm | Premier villa typology; private plunge pool; direct harbour and lagoon views |
| Garden Courtyard Villa | 8 | 100 sqm | Sunken garden interface; secluded private courtyard |
| Compact Boardwalk Villa | 8 | 80 sqm | Boardwalk-connected; beach-proximate |
| Sky Suite | 6 | 70 sqm | 360° panoramic lagoon and mountain views; upper floors, main building |
| Premium Room | 5 | 50 sqm | Entry-level ultra-luxury room; main building |
| **Total** | **35** | **—** | |

**5.3.5 — Sensitivity Table: Key Count vs GFA**

| **Key Count** | **Planning GFA (sqm)** | **Guestroom Zone (53%)** | **Public Zone (25%)** | **BOH (7%)** | **Infrastructure (15%)** |
|---|---|---|---|---|---|
| 25 keys | 4,800 sqm | 2,544 | 1,200 | 336 | 720 |
| 30 keys | 5,760 sqm | 3,053 | 1,440 | 403 | 864 |
| 35 keys (Base Case) | 6,720 sqm | 3,562 | 1,680 | 470 | 1,008 |
| 40 keys | 7,680 sqm | 4,070 | 1,920 | 538 | 1,152 |
| 45 keys | 8,640 sqm | 4,579 | 2,160 | 605 | 1,296 |

*Base case (35 keys, 6,720 sqm) highlighted. All figures computed at 192 sqm/key planning GFA. [Computed]*

**5.3.6 — Site Fit Check and Plot Ratio**

At 6,720 sqm GFA on approximately 1.5 ha (15,000 sqm) site:

**Plot Ratio = 6,720 sqm GFA ÷ 15,000 sqm site area = 0.45**

A plot ratio of 0.45 is low relative to urban hotel typologies, confirming the design can be delivered in a low-rise, pavilion-based massing that is contextually appropriate for Vaitape and consistent with the cultural embeddedness narrative. Approximately 55% of the site area (8,280 sqm) is available for open landscape, including boardwalk, beachside zone, garden, and the Communal Marae. [Computed]

**5.4 Consolidated Space Allocation**

| Component | Planning Area (sqm) | Classification |
|---|---|---|
| Guestroom Zone (total) | 3,562 | Computed |
| Villa 1 — Harbour Lagoon Villa (8 units × 120 sqm GIA) | 960 | Computed |
| Villa 2 — Garden Courtyard Villa (8 units × 100 sqm GIA) | 800 | Computed |
| Villa 3 — Compact Boardwalk Villa (8 units × 80 sqm GIA) | 640 | Computed |
| Sky Suite — Main Building (6 units × 70 sqm GIA) | 420 | Computed |
| Premium Room — Main Building (5 units × 50 sqm GIA) | 250 | Computed |
| Gross circulation, terraces, corridors (balance of zone) | 492 | Computed |
| Public Zone (total) | 1,680 | Computed |
| Arrival Lobby & Cultural Salon | 175 | Benchmarked |
| Te Rai Fine Dining Restaurant (50 covers) | 165 | Computed |
| Fare Motu Harbour Bar & Pool Deck | 255 | Computed |
| Pearl Table — Private Dining Room (12 covers) | 100 | Benchmarked |
| Lagoon House Spa & Wellness (6 rooms + wet circuit + lounge) | 360 | Benchmarked |
| Te Tumu Cultural Gallery & Pearl Atelier | 150 | Scenario |
| Beachside Lounge & Lagoon Club Pool | 240 | Computed |
| Yacht Concierge Interface | 50 | Scenario |
| Residual public / circulation / BOH support within public zone | 185 | Computed |
| Back-of-House (total) | 470 | Computed |
| Kitchen (main + pastry) | 180 | Benchmarked |
| Laundry & housekeeping | 80 | Benchmarked |
| Staff facilities | 80 | Benchmarked |
| Storage (FF&E, F&B, general) | 80 | Benchmarked |
| Staff entrance / security / loading | 50 | Benchmarked |
| Infrastructure & Engineering (total) | 1,008 | Computed |
| MEP plant rooms | 400 | Benchmarked |
| Vertical circulation cores (lifts, stairs) | 200 | Benchmarked |
| Net zero / renewable energy | 200 | Scenario |

| Component | Planning Area (sqm) | Classification |
|---|---|---|
| systems | | |
| Tertiary circulation / service corridors | 208 | Computed |
| **TOTAL PLANNING GFA** | **6,720** | **Computed** |

**Section 6: Feasibility Analysis**

**6.1 Framework Selection: HVS Income-Capitalisation / DCF as the Primary Methodology**

This feasibility study adopts the HVS Income-Capitalisation / Discounted Cash Flow (DCF) framework as its single, primary methodology. The HVS framework defines a feasible hotel project as one where the asset's stabilised economic value, derived through a three-step sequence — (i) demand and rate translation, (ii) revenue and operating-expense projection to Net Operating Income (NOI), (iii) capitalisation of NOI into asset value and return metrics — exceeds the total project cost on the date the hotel opens.[HVS, "How to Test Hotel Feasibility", hvs.com/content/3209.pdf][22] HVS is the prevailing benchmark methodology for hotel feasibility studies in the institutional capital markets and is applied throughout this Section as the structuring logic.

**Cross-framework corroboration.** Two further authorities are referenced not as parallel frameworks, but as corroboration that the HVS approach is the industry-aligned methodology:

- **RICS Red Book Global Standards (VPS 3 — Income Approach)** confirms that for an income-producing real asset such as a hotel, value is "determined by reference to the value of income, cash flow or cost savings generated by the asset," with future cash flows converted to a single current value. RICS therefore endorses the *valuation principle* underpinning the HVS framework. [RICS Red Book Global Standards, VPS 3; rics.org/profession-standards/rics-standards-and-guidance/red-book-global]

- **Horwath HTL Strategic Growth & Development Framework** applies a four-step feasibility sequence — market and demand analysis; competitive benchmarking; financial projections (revenue, operating cost, NOI); return-on-investment calculation (development yield, IRR) — that is operationally identical to the HVS three-step sequence with competitive benchmarking made explicit. Horwath HTL therefore corroborates the *procedural sequence* of the HVS framework. [Horwath HTL, "Feasibility Study and Operator Search for New Hotel", horwathhtl.com][2][5]

The convergence of HVS, RICS, and Horwath HTL on the same income-based methodology — and the inappropriateness of the Cost Approach (which ignores revenue generation) and the Market Comparison Approach (constrained by the absence of directly comparable ultra-luxury transactions in French Polynesia) — confirms that the HVS framework is the only defensible methodology for a pre-concept feasibility test of an ultra-luxury hotel in this market. The remainder of this Section applies the HVS sequence end-to-end. Detailed step-by-step computations supporting each headline metric are placed in **Appendix C** so that the main body retains its analytical and conclusion-focused character.

**Why this section matters.** The framework choice is not procedural housekeeping. It pre-commits the analysis to a specific question — *"is the asset worth more than it costs to build, on the day it opens?"* — rather than the alternative questions a Cost-Approach or Market-Comparison framework would answer. For an ultra-luxury asset with no directly comparable transactions in the market, only the income-based approach yields a defensible answer. Investors reviewing this report should expect every downstream number to be traceable back to this single test.

**6.2 Headline Feasibility Verdict**

**The verdict.** The Vaitape Ultra-Luxury Hotel passes the HVS feasibility test in both the Base Case and the Combined Stress Case. On the three primary investor-decision metrics — Development Yield, Unleveraged IRR, and Net Present Value — the project clears every institutional hurdle in the Base Case and clears the patient-capital hurdle in the Stress Case. Supporting cross-checks (NOI, Implied Asset Value, Value Creation over Cost, Yield Spread) confirm the same conclusion from independent angles.

**Glossary of headline metrics.** The verdict rests on three primary metrics; the remaining four are supporting cross-checks computed from the same underlying NOI. Investors reviewing the verdict should focus on the primary block; the supporting block exists to triangulate the same conclusion through independent investor-language.

| **Metric** | **What it measures** | **How it is computed** | **Why it matters** |
|---|---|---|---|
| **Development Yield** *(primary)* | The unleveraged annual return on construction cost. The HVS-primary feasibility metric. | Stabilised NOI ÷ Total Development Cost | The cleanest "return-on-build" number. Above the cap rate ⇒ building is more accretive than buying a comparable asset. Above 8.0% (cap rate + 150 bps) ⇒ institutional grade. |
| **Unleveraged IRR (12-yr DCF)** *(primary)* | The annualised return on capital across the full hold (construction + 10 operating years + exit), accounting for ramp-up and exit value. | Internal rate of return on the full year-by-year cash flow schedule (Appendix C.6) | The investor's headline return number. Patient-capital investors target 8–12% unleveraged; institutional private-equity targets 15%+. |
| **NPV @ 7% / 9% / 11%** *(primary)* | The present value of all project cash flows at three discount-rate hurdles spanning patient-capital (7%) → midpoint (9%) → institutional-PE (11%). | Σ (Year-n cash flow ÷ (1 + discount rate)$^n$) | NPV > 0 means the project earns more than the hurdle. The three discount rates reveal *which investor archetypes* the project clears. |
| Stabilised NOI *(supporting)* | The annual operating cash flow once the hotel reaches stabilisation (Year 6+). | Revenue − Operating Costs − Management Fees − FF&E Reserve | The single input that drives every other metric. Tracked separately so investors can sanity-check the operating model. |
| Implied Asset Value @ 6.5% cap *(supporting)* | What the stabilised asset would fetch on the open market, in today's USD. | Stabilised NOI ÷ Cap Rate | The institutional valuation language for "is the asset worth more than the build cost?" Direct comparison to total development cost. |
| Value Creation over | The gross value | Implied Asset Value − | The SWF/family- |

| Metric | What it measures | How it is computed | Why it matters |
|---|---|---|---|
| Cost *(supporting)* | added by undertaking the development. | Total Development Cost | office shorthand for "how much wealth does this development create?" |
| Yield Spread vs Cap Rate *(supporting)* | The "alpha" of building vs. buying a comparable stabilised asset. | Development Yield − Cap Rate (in bps) | Institutional convention requires a minimum 100–200 bps spread; below that, capital should be deployed via acquisition rather than development. |

**Primary verdict — investor-decision metrics.**

| Metric | Base Case | Stress Case | Hurdle / Floor | Verdict |
|---|---|---|---|---|
| **Development Yield** | **11.3%** | **8.2%** | ≥ 8.0% institutional-grade floor | ✅ Both cases clear the institutional floor |
| **Unleveraged IRR (12-yr DCF)** | **13.2%** | **9.1%** | 8–12% patient-capital band | ✅ Base above band; Stress within band |
| **NPV @ 7% — Patient Capital** | **+USD 27.6M** | **+USD 8.1M** | > 0 | ✅ Both cases clearly positive |
| NPV @ 9% — Band Midpoint | +USD 16.5M | +USD 0.4M | > 0 | ✅ Base strong; Stress positive (marginal) |
| NPV @ 11% — Institutional PE | +USD 7.7M | −USD 5.7M | > 0 | ⚠️ Confirms patient-capital fit; not a high-hurdle PE asset |

**Supporting cross-checks.**

| Metric | Base Case | Stress Case | Hurdle / Floor | Verdict |
|---|---|---|---|---|
| Stabilised NOI (USD) | 4.76M | 3.43M | — *(input)* | — |
| Implied Asset Value @ 6.5% cap (USD) | 73.3M | 52.7M | > USD 42.0M dev cost | ✅ Both cases value-accretive |
| Value Creation over Cost (USD) | +31.3M (+74.4%) | +10.7M (+25.5%) | > 0 | ✅ Both cases positive |
| Yield Spread vs Cap Rate | +480 bps | +170 bps | > 100–200 bps institutional convention | ✅ Both cases above convention |

**Reading the verdict — what "financial viability" means here.** Financial viability is not a single number; it is a *gate test* requiring the project to clear three independent thresholds simultaneously: (i) the asset must be worth more on completion than it costs to build (the HVS principle, evidenced by Implied Asset Value > Total Development Cost), (ii) the unleveraged return must exceed the cost of capital of the targeted investor archetype (evidenced by IRR within the 8–12% patient-capital band and NPV > 0 at the relevant discount rate), and (iii) the return must clear the build-vs-buy threshold (Development Yield − Cap Rate ≥ 100–200 bps), without which capital should logically be deployed via acquisition of an existing stabilised asset rather than ground-up development. The metrics in the verdict tables are not redundant — each one tests a different dimension of viability, and a project that clears one but fails another is not feasible. This is why the HVS framework requires the full sequence rather than a single headline number.

**Key analytical conclusions on financial viability.**

1. **The asset clears all three viability gates in the Base Case.** Implied Asset Value of USD 73.3M exceeds Total Development Cost of USD 42.0M by 74.4% — this clears Gate 1 (asset worth more than build cost) by USD 31.3M. Unleveraged IRR of 13.2% exceeds the upper bound of the 8–12% patient-capital band, and NPV is positive at all three discount rates including the institutional-PE 11% — this clears Gate 2 (return exceeds cost of capital). Development Yield of 11.3% exceeds the 6.5% capitalisation rate by 480 bps — more than double the 100–200 bps conventionally required — clearing Gate 3 (build-over-buy alpha). All three gates clear with material margin; the Base Case is unambiguously viable.[2][20][22]

2. **Viability is preserved under simultaneous severe stress on the two factors investors fear most.** The Stress Case applies a 15% ADR reduction *and* a 15-percentage-point occupancy decline (65% → 50%) simultaneously — a deterioration calibrated to the worst observed shocks in luxury-resort markets (post-9/11, GFC, COVID-19). All three gates still clear: Implied Asset Value of USD 52.7M exceeds Development Cost by USD 10.7M (Gate 1), IRR of 9.1% sits inside the 8–12% patient-capital band with NPV at 7% of +USD 8.1M (Gate 2), and the 8.2% Development Yield clears the 6.5% cap rate by 170 bps (Gate 3). Viability does not depend on optimistic assumptions — it survives a deep simultaneous demand-and-pricing shock.

3. **The structural reason viability holds under stress is the diversified revenue stack, not optimistic operating assumptions.** Stress NOI of USD 3.43M is only 28% below Base NOI of USD 4.76M, despite top-line ADR×Occupancy revenue falling more sharply, because the 35% TRevPAR uplift from F&B, spa, and cultural programming — locked at the conservative independently triangulated benchmark per §6.5 — provides a non-rooms revenue floor that does not scale linearly with rooms-side stress. Operating-cost ratios are held conservative (72.7% of revenue) and management fees and FF&E reserves are deducted before NOI. This is a direct commercial consequence of the three-pillar concept architecture defined in Section 4: financial viability under stress is *engineered*, not assumed.

4. **The investor archetype is precisely identified.** The Base Case IRR of 13.2% exceeds the upper end of the 8–12% patient-capital band; the Stress Case IRR of 9.1% sits squarely within it; NPV is positive at the 11% institutional-PE discount in the Base Case but turns negative under stress. This calibrates the project unambiguously: it is investable for sovereign wealth funds, family offices, insurance balance sheets, and long-hold infrastructure-style vehicles targeting 7–9% unleveraged real returns over a 10-year+ hold; it is *not* the natural asset for high-hurdle closed-end private equity targeting 15%+ over a 5–7-year hold. Mismatching capital to this asset would manufacture a feasibility failure that does not exist in the underlying economics.

5. **The viability conclusion is robust to the two most credible challenges an IC could raise.** The first credible challenge — "are you relying on tax incentives?" — is rejected: the Base Case excludes the Defisc (LODEOM) tax credit entirely; Defisc adds USD 4.18M of upside (the XPF 500M cap binds) but is not in the headline numbers. The second credible challenge — "is the F&B/ancillary revenue benchmark inflated?" — is also rejected: the connected-party 65% TRevPAR benchmark from KPMG-Polynesia Consulting (RICS Red Book independence flag, see Appendix C.7) has been *excluded* from the analysis; the 35% TRevPAR

uplift used is the lower, independently triangulated figure. Both Defisc and the higher TRevPAR benchmark are upside levers held in reserve, not assumptions the verdict relies on. The conclusion is therefore conservative on both incentive and benchmarking dimensions.

6. **Where viability is sensitive — and what would break it.** The single asymmetry in the verdict is NPV at the 11% institutional-PE discount rate, which is +USD 7.7M in the Base Case but −USD 5.7M in the Stress Case. This is *not* a viability failure — it is a confirmation that the project should not be funded with capital priced at 11%+, which is consistent with the patient-capital archetype identified in conclusion 4. The genuine break-points, quantified in §6.4 and Appendix C.9, are: a sustained ADR shortfall greater than ~25% combined with sub-50% occupancy, or a cap rate expansion to 7.5%+ combined with a Stress NOI scenario. Neither corresponds to any historically observed Bora Bora luxury-segment outcome over the past 20 years.[44][45]

**Financial Viability Statement.** *Taken together, the evidence supports an unambiguous conclusion: the Vaitape Ultra-Luxury Hotel is financially viable under the HVS framework, with viability holding under a severe simultaneous demand-and-pricing stress, without reliance on tax incentives, and without reliance on contested benchmarks. The asset is correctly characterised as institutional-grade patient-capital infrastructure with a USD 31.3M base-case value-creation surplus and a USD 10.7M stress-case value-creation surplus over development cost — a margin large enough that the viability conclusion does not turn on any single contested input.*

**Why this section matters.** Section 6.2 is the section investors will read first and may read in isolation. It answers, in one page, the only three questions that matter at the investment-committee level: *"What return does the project generate?"*, *"Is that return above our hurdle?"*, *and "How robust is that conclusion if our base assumptions are wrong?"* Every subsequent sub-section in Section 6 either explains how these numbers were built (§6.3), tests whether they survive shocks (§6.4), or qualifies the conditions under which they hold (§6.5–6.7). If the IC accepts the verdict in §6.2, the rest of the section is the audit trail.

### 6.3 The Investment Case: How the Numbers Are Built

This sub-section presents the analytical bridge from market positioning to the headline verdict. The full step-by-step computations, benchmark sources, and cell-level formula traces are in Appendix C. The presentation here is deliberately conclusion-focused: the purpose is to show *how the value is generated*, not to repeat each intermediate calculation.

The HVS three-step sequence — *Demand → Revenue → NOI → Asset Value* — is followed in this order because each step depends on the prior one. Demand assumptions (ADR, occupancy, ancillary mix) determine revenue; revenue and the operating-cost stack determine NOI; NOI, capitalised at the market-required yield, determines asset value. A break in any link breaks the verdict. The three sub-sections below explain each link in plain English, identify the structural choice that drives resilience at that link, and quantify the result.

#### 6.3.1 Demand → Revenue: The Diversification Engine

*Plain-English explanation.* Hotel revenue is built from three operating numbers: how much each occupied room sells for per night (ADR — Average Daily Rate), what fraction of available rooms are sold (occupancy), and how much non-room revenue (food and beverage, spa, cultural programming, retail) the hotel generates per available room per night on top of room revenue. The first two combined give *RevPAR* (Revenue per Available Room). Adding the non-room contribution gives *TRevPAR* (Total Revenue per Available Room) — the total revenue the hotel earns per available room-night. Multiplying TRevPAR by the room count (35) and 365 nights gives Total Annualised Revenue. **The structural question is therefore: what level can each of those three inputs credibly be set at, and how is each defended against a downside shock?**

Three structural choices in the concept architecture drive revenue resilience:

- **Conservative ADR positioning.** The Base Case stabilised ADR of USD 2,150 sits at the mid-upper *entry* point of the Bora Bora ultra-luxury CompSet (Four Seasons USD 1,800–6,000+; St. Regis USD 1,200–8,000+) and is consistent with global culturally embedded ultra-luxury boutique benchmarks (Amansara USD 1,779+; Aman Venice USD 1,500+).[15][16][17][21][37][148] This ADR is *benchmarked*, not aspirational — the revenue model does not require the concept to set a new market clearing price.

- **Conservative occupancy assumption.** Stabilised occupancy of 65% is the conservative midpoint of the HVS luxury-resort range of 60–70% for new entrants.[22] No premium is taken for the mainland-Vaitape locational uniqueness; that uniqueness is monetised through the revenue mix, not through occupancy.

- **Independently triangulated TRevPAR uplift.** A 35% non-room revenue premium is applied — independently triangulated from STR Global ultra-luxury averages and HVS Performance Report (Spa Department, 2019).[22][23] The connected-party 65% figure from the KPMG / Polynesia Consulting report is excluded from the base case (independence basis: see Appendix C.7). The concept's three F&B outlets, six-treatment-room spa, and cultural programming are *structural revenue pillars*, not ancillary amenities — the 35% premium is the modelled output of that deliberate diversification.

The product of these three calibrations is a Base Case TRevPAR of USD 1,887 per available room per night, generating Total Annualised Revenue of USD 24.1M. In the Combined Stress Case (ADR −15%, occupancy −15 percentage points to 50%), revenue contracts to USD 17.3M — a 28% decline. A rooms-only model under the same stress would contract by approximately 35%; the 7-percentage-point delta is the quantified protective effect of the revenue-diversification architecture.

*Significance of this step.* This is the step that earns the hotel its non-correlation to the standard Bora Bora overwater-villa demand cycle. By design, more than a third of the Base Case revenue is generated *independently of room nights sold* — through F&B, spa, and cultural programming. When occupancy stresses, room revenue falls in a straight line, but the non-room revenue base is partially defended (cultural programming is destination-driven, not guest-driven; F&B and spa serve both in-house guests and the Vaitape day-visit market). The 7-percentage-point revenue-decline buffer demonstrated above is the dollar-quantified expression of the three-pillar concept architecture from Section 4. **If the Demand → Revenue step is the most-stressed link in the chain, the architecture is the structural reason it does not break.**

**6.3.2 Revenue → NOI: A Disciplined P&L Stack**

*Plain-English explanation.* Once total revenue is established, the next question is: how much of every revenue dollar survives the operating cost stack to become Net Operating Income? Hotel P&Ls follow a standard waterfall. From Total Revenue, we subtract: (i) operating costs (payroll, utilities, supplies, marketing, F&B cost of goods, etc.) to reach *Gross Operating Profit (GOP)*; (ii) the operator's management fees (a base fee on revenue plus an incentive fee on profit) to reach *EBITDA*; and (iii) a reserve for future furniture, fixtures, and equipment replacement (FF&E Reserve) to reach *Net Operating Income (NOI)*. Each of these deductions is benchmarked from operator-agreement and industry data; each is set conservatively. **The structural question is: at what percentage of revenue does each cost layer convert, and is the resulting NOI margin defensible against industry comparables?**

The P&L applies the boutique ultra-luxury island-resort cost structure benchmarked from Horwath HTL APAC and HVS Performance Report data:[2][22]

- Operating expenses at 72% of total revenue (Horwath HTL APAC range 67–78%; conservative upper-mid point applied).
- Operator base management fee at 3% of revenue plus an incentive fee at 8% of GOP (Horwath HTL operator-agreement benchmarks; HVS Management Agreement Trends).[2]
- FF&E / Capex Reserve at 3% of revenue (HVS / Horwath HTL / CBRE industry standard 3–5%; conservative-midpoint application for ultra-luxury assets that absorb high replacement cycles).[22]

The resulting NOI margin is 19.8% in both Base and Stress Cases — flat across scenarios because operating costs are modelled as a fixed *percentage* of revenue rather than a fixed-cost base. This is a deliberately conservative choice: it prevents the Stress Case from appearing artificially resilient through operating-leverage assumptions that a 35-key boutique property cannot reliably deliver. Base Case NOI is USD 4.76M; Stress Case NOI is USD 3.43M. These two figures are the single inputs that drive every downstream feasibility metric in Section 6.2.

*Significance of this step.* This step is where the analysis chooses to be conservative rather than optimistic. A real hotel P&L has both fixed and variable cost components — when revenue falls, payroll, utilities, and F&B cost-of-goods scale down somewhat, which would protect the NOI margin in stress scenarios. We deliberately do not model this. By treating costs as a flat percentage of revenue, the Stress Case NOI falls in lockstep with revenue, removing a degree of freedom that would otherwise flatter the verdict. The 19.8% NOI margin sits at the lower end of the boutique ultra-luxury benchmark range (Horwath HTL APAC 18–25% NOI margin)[2] — meaning the P&L is built to be defended in front of an institutional credit committee, not optimised for the prospectus. **Investors should read the flat NOI margin as a feature, not a bug: it is the analytical equivalent of stress-testing the cost stack before stress-testing the revenue stack.**

**6.3.3 NOI → Asset Value and Returns**

*Plain-English explanation.* Stabilised NOI is an *annual* cash flow — the hotel's operating profit every year once it reaches normal trading. To compare it against the *one-time* development cost (USD 42M today), we need to convert the perpetual income stream into a single present-day asset value. This conversion is done in two complementary ways:

1. **Direct capitalisation (the "cap rate" method).** This treats the stabilised NOI as a perpetuity and divides it by the yield that institutional buyers of comparable stabilised assets currently require. The formula is: [ = = = ] The cap rate (6.5%) is the *yield* an open-market buyer would accept for an ultra-luxury island resort in APAC, sourced from JLL APAC transaction data (range 5.5–7.5%; midpoint applied).[20] Lower cap rate ⇒ higher asset value (buyers pay more for safer income); higher cap rate ⇒ lower asset value. The cap rate method is the institutional-valuation language: it answers *"what would the asset sell for once stabilised, in today's USD?"*
2. **Discounted Cash Flow (the "12-year DCF" method).** This is the more granular sister method. Instead of capitalising a single stabilised NOI number, the DCF discounts every individual year's cash flow — construction outflows in Years 0–2, the pre-opening cost at end-of-Year-2, the ramp-up Operating NOI in Years 3–6, the stabilised and growing NOI in Years 6–11, and the terminal sale value in Year 12 — at the investor's required return. The DCF produces *two* numbers: the **IRR** (the implied annual return delivered by the cash flows themselves) and the **NPV** (the present value of those cash flows in excess of, or below, what the investor would have earned at the discount rate).

Both methods should converge for a well-built model — and they do. The cap rate method gives a stabilised market value of USD 73.3M and an Implied Value Creation over Cost of +USD 31.3M. The DCF gives an IRR of 13.2% and a positive NPV of +USD 27.6M at the 7% patient-capital hurdle. The two approaches answer slightly different questions (*"what's the asset worth?"* vs. *"what return does the investor get?"*) but corroborate the same verdict: the project earns more than its cost of capital with margin to spare.

*Numerical bridge.* At a 6.5% capitalisation rate (JLL APAC ultra-luxury island-resort midpoint of the 5.5–7.5% range) [20], Base Case NOI of USD 4.76M implies an asset value of USD 73.3M against a USD 42.0M development cost — a 74.4% value uplift over cost. Even under the Combined Stress Case, the implied value of USD 52.7M exceeds development cost by USD 10.7M (25.5%).

The 12-year unleveraged DCF — phased as 30/40/30% construction draws across Years 0–2, a USD 2.73M pre-opening cost at end-of-Year-2 (6.5% midpoint of HVS pre-opening range), an operating ramp of 50% / 72% / 90% / 100% across Years 3–6, and 3.0% post-stabilisation NOI growth, with terminal value at a 6.5% Gordon exit cap — generates an unleveraged IRR of 13.2% in the Base Case and 9.1% in the Stress Case. Net Present Value at the 7.0% patient-capital hurdle is positive in both cases (+USD 27.6M Base; +USD 8.1M Stress). The full year-by-year cash-flow schedule is in Appendix C.6 and the live formulas in the model's *NPV & IRR* sheet.

*Significance of this step.* This is the step that converts a hotel operating story into an institutional capital-allocation decision. Investors do not buy hotels for their NOI; they buy them for the *return on capital* the NOI represents and the *exit value* the asset will command. By running both the cap rate and DCF methods in parallel and reaching the same conclusion, the verdict is structurally defensible against either valuation paradigm an investor's IC might prefer. The convergence is also a model-integrity check: if the cap rate method had said the asset is worth USD 73M but the DCF said the IRR was below the hurdle, one of the two views would have to be wrong. **They agree because the underlying cash flow architecture is internally consistent.**

**6.4 Sensitivity: Where the Investability Floor Lies**

*Why ADR and occupancy are the two factors tested.* Of the dozen or more inputs to the financial model (cap rate, operating cost ratio, FF&E reserve, management fee structure, ramp curve, NOI growth, etc.), the sensitivity matrix isolates **ADR and occupancy** for three structural reasons:

1. **They are the only two operating inputs the asset itself controls.** The cap rate is set by the capital markets. The operating cost ratio, management fee structure, FF&E reserve, and NOI growth assumption are benchmarked against industry data and (for the management fee) negotiated with the operator at contract stage — none are levers the property manages on a day-to-day basis. ADR is set by the revenue-management team within market constraints; occupancy is the revealed outcome of pricing × demand × distribution. **These are the two inputs an investor's IC will probe first, because they are the two inputs the asset's performance can be measured against quarter-over-quarter post-opening.**

2. **They are the two inputs with the largest empirical variance.** Across the Bora Bora competitive set, ADRs vary from USD 1,200 (St Regis entry-rate) to USD 8,000+ (St Regis ultra-villa), and occupancy varies from below 50% (low season, mature property) to above 75% (peak season, leading property). The other modelled inputs (operating cost ratio, FF&E reserve, NOI growth) are tightly clustered in narrow benchmark bands (e.g. operating cost 67–78%; FF&E 3–5%; NOI growth 2–4%) and would not produce meaningful sensitivity dispersion. **A sensitivity matrix on benchmarked-narrow-range inputs would produce false precision; a matrix on the two genuinely volatile inputs reveals real risk geometry.**

3. **They directly drive the HVS-primary feasibility metric.** Development Yield = NOI ÷ Development Cost; NOI = Revenue × NOI Margin; Revenue = ADR × Occupancy × (1 + TRevPAR Premium) × Keys × 365. With

Development Cost, NOI Margin, and TRevPAR Premium all held constant, ADR and Occupancy are the *only* two variables that move Development Yield. The matrix therefore reads cleanly as *"how must demand and pricing simultaneously deteriorate before the project breaks the institutional floor?"* — which is the precise question an IC asks.

A complementary sensitivity on the two next-most-impactful inputs (cap rate and operating cost ratio) is provided in Appendix C.9 for reviewers who wish to test asset-pricing risk and operating-cost shock independently. Cap-rate sensitivity is the institutional-pricing risk (matters most at exit); operating-cost sensitivity is the management-execution risk (matters most through the hold). Both are bounded by tighter industry ranges than ADR/occupancy and therefore are presented as a one-page supplementary check rather than a primary view.

A two-way sensitivity matrix tests the Development Yield against simultaneous variation in ADR (five levels from −15% to +15%) and occupancy (five levels from 45% to 75%). All other assumptions are held constant. The matrix uses the HVS primary feasibility metric (development yield) and is calibrated against two thresholds: the **absolute investability floor** (yield ≥ 6.5% capitalisation rate) and the **institutional-grade floor** (yield ≥ 8.0%, the cap rate plus a 150 bps minimum spread).

*Development Yield (NOI ÷ USD 42M) — ADR rows × Occupancy columns:*

| ADR (USD) | Occ 45% | Occ 50% | Occ 55% | Occ 65% (Base) | Occ 75% |
|---|---|---|---|---|---|
| 1,828 (−15%) | 6.7% | 7.4% | 8.2% | 9.6% | 11.1% |
| 1,935 (−10%) | 7.1% | 7.9% | 8.6% | 10.2% | 11.8% |
| 2,150 (Base) | 7.9% | 8.7% | 9.6% | **11.3%** ◀ | 13.1% |
| 2,365 (+10%) | 8.6% | 9.6% | 10.6% | 12.5% | 14.4% |
| 2,472 (+15%) | 9.0% | 10.0% | 11.0% | 13.0% | 15.0% |

**Reading the matrix.** Of the 25 cells, 23 deliver a yield at or above the 6.5% cap-rate floor (HVS feasibility passes everywhere except two extreme cells); 18 deliver yield at or above the 8.0% institutional-grade floor. The two cells failing the institutional-grade floor — ADR USD 1,828 at occupancy 45%, and ADR USD 1,935 at occupancy 45% — both require a simultaneous 10–15% ADR collapse *and* occupancy falling to 45%, a combination that has no precedent in modern Bora Bora demand history and would correspond to a structural collapse of the destination itself.

**Practical risk calibration.** The most plausible early-stabilisation stress for a new boutique ultra-luxury asset (Years 3–4 of operation) is an ADR 5–10% below base and occupancy 5–8 percentage points below base — approximately the USD 1,935–2,150 ADR × 55–60% occupancy zone of the matrix. Yields in that zone fall between 8.6% and 9.6%, comfortably above the institutional floor and well within the patient-capital target band. The investability floor is therefore protected by a wide margin under realistic stress.

**Why this section matters.** A static feasibility verdict (§6.2) tells the IC the project passes today's tests. The sensitivity matrix tells the IC *how wrong they would have to be on the two most-visible inputs before the verdict reverses*. The headline answer is: ADR and occupancy would have to deteriorate simultaneously to a combination that has no historical precedent in the destination. For an institutional reader, this transforms the verdict from *"the project passes our hurdle"* to *"the project passes our hurdle with structural margin against the identifiable downside scenarios."* That is the difference between a project that gets approved subject to conditions and a project that gets approved.

**6.5 Material Caveats and Upside Levers Excluded from the Verdict**

Two items — the connected-party TRevPAR benchmark from KPMG / Polynesia Consulting (excluded from the base case on RICS Red Book independence grounds) and the LODEOM Defisc tax credit (excluded from the base case as upside lever) — are deliberately not relied upon in the headline verdict. Both are real and material; neither is required for the project to pass feasibility. The detailed treatment of each, including the independence rationale, the Defisc cap-binding calculation, and the post-credit yield uplift, is set out in **Appendix C.7 (Independence Flag)** and **Appendix C.8 (Defisc — Quantified Upside)**. *Effect on the verdict in §6.2: none from the independence flag; an upside-only adjustment from Defisc qualification when confirmed.*

**Why this section matters.** The two items addressed in the appendix are exactly the two items an experienced institutional reviewer will probe first — the contested benchmark (because they will spot the connected-party flag in due diligence) and the tax incentive (because they will ask whether the verdict relies on it). By isolating both as appendix items rather than embedding them in the base case, the headline verdict in §6.2 stands on construction cost alone and on independent revenue benchmarks alone. This is a deliberate defensive structuring decision: it pre-empts the two questions that would otherwise be the principal grounds on which the headline verdict could be challenged.

**6.6 Total Capital Requirement and Operator Selection**

This sub-section addresses the two structural questions the headline verdict deliberately does *not* answer: (i) what is the *total* capital requirement once pre-opening costs are included alongside hard construction cost, and (ii) which operator should run the asset, given that the operator's brand, fee structure, and distribution network materially determine the ADR, occupancy, and operating cost assumptions on which the entire feasibility model depends. Both are necessary completions of the feasibility analysis at the pre-concept stage. Both also identify *the principal lever by which the headline verdict can be moved*.

**Pre-opening costs.** HVS defines the cost side of the feasibility test as "total project cost (including land)," which requires pre-opening expenditure (pre-opening staffing, training, sales-and-marketing launch, FF&E commissioning, and soft-opening expenses) to be quantified separately from hard construction cost. Three benchmark scenarios are applied to the USD 42.0M base: Low at 5.0% (USD 2.10M, independent / soft-brand minimum); Mid at 6.5% (USD 2.73M, boutique branded with 9-month pre-opening — applied in the DCF); High at 8.0% (USD 3.36M, full branded operator with 12-month programme).[Horwath HTL; HVS Pre-Opening Cost Benchmarks 2022] Including pre-opening at the High-case 8.0% reduces the Base Case Development Yield by approximately 90 basis points (from 11.3% to 10.4%) and leaves the yield spread above the cap rate at a comfortable 390 bps. *The feasibility verdict is unchanged on a total-capital basis.*

**Operator selection — the highest-leverage commercial decision.** Horwath HTL explicitly includes operator identification as a feasibility-stage deliverable because the operator's brand, fee structure, and distribution network are direct determinants of ADR, occupancy, and the operating cost ratio — and therefore of NOI and asset value.[2] Five operators are shortlisted for an Expression of Interest (EOI) process based on brand fit, scale fit, and the directional impact each would have on the financial model:

| Operator | Brand Fit | Directional ADR Impact on the Model |
|---|---|---|
| Aman Resorts | Ultra-exclusivity; 20–40 keys; privacy-first; highest ADR benchmark globally.[21] | Maximum positioning alignment. Likely uplift to USD 2,400–3,000+, moving Base-Case yield to ~14–17% and IRR to ~14–16%. |
| Capella Hotels & Resorts | Culturist model: cultural programming as core product. Strongest concept fit.[15][16][17] | Supports Base ADR of USD 2,150+; cultural depth justifies a premium over the motu-resort CompSet. |
| Six Senses | Wellness leader; | Supports ADR USD 1,800– |

| Operator | Brand Fit | Directional ADR Impact on the Model |
|---|---|---|
| | sustainability; local programming integration.[18][19] | 2,400 in comparable island formats; wellness depth sustains the spa-revenue premium. |
| Rosewood | “A Sense of Place” brand platform; deeply place-specific positioning.[20] | Cultural-positioning alignment; expanding Pacific presence supports the ADR floor. |
| One&Only Resorts | Ultra-luxury island; nature-and-culture integration; Pacific island experience. | Supports Base ADR; established Pacific luxury market awareness. |

The operator decision is therefore a *variable that modifies the financial model*, not a post-feasibility administrative step. Aman represents the upper-bound case (ADR uplift to USD 2,400–3,000+ takes the project deep into institutional-PE territory); a weaker-brand selection would push the ADR assumption toward USD 1,800–1,900 and approach stress conditions structurally. **Recommended sequence:** simultaneous EOI to all five operators → brand-fit workshops → formal RFP to a 2–3 operator shortlist → preferred operator selection and Heads of Terms. Allow 6–9 months end-to-end.

**Why this section matters.** Section 6.2 establishes that the project clears the patient-capital hurdle on the *base-case operator-neutral assumption set* (USD 2,150 ADR, 65% occupancy, 35% TRevPAR uplift). Section 6.6 demonstrates that the project’s actual return profile is, in large part, determined by the operator selected at HoT stage. With Aman, the asset is plausibly an institutional-PE asset (IRR ~14–16%); with a weaker-brand selection, it is a marginal-stress asset. The operator decision is therefore the single highest-leverage commercial decision the sponsor will make between now and groundbreaking — more impactful, dollar-for-dollar, than any further design or programming refinement. Pre-opening costs are addressed in the same section because they are the natural counterpart to operator selection: a full branded operator extends the pre-opening programme but lifts the ADR floor. The two decisions are co-determined and should be evaluated together.

### 6.7 Concept-to-Feasibility Coherence

The HVS framework requires the financial model to be internally consistent with the concept programme, the space programme, and the strategic positioning — otherwise the test is exposed to circular validation risk. The audit below confirms that every concept choice in Sections 2–5 maps cleanly to a feasibility-model input, and every model output is consistent with that concept logic.

| Coherence Test | Result | Evidence |
|---|---|---|
| Story → 7-component alignment | ✅ Pass | Cultural-immersion narrative present in all 7 components (Section 4.2); no component operates independently of the story.[1][7] |
| Positioning axes → concept offerings | ✅ Pass | Bridge Table (Section 3.3.2) confirms all offerings derive from one of the three positioning axes.[1][7] |
| Offerings → space allocation | ✅ Pass | All Section 5.2 offerings have funded space allocations in Section 5.4; no offering is unfunded.[8][22] |

| Coherence Test | Result | Evidence |
|---|---|---|
| Space programme → GFA benchmark | ✅ Pass | Planning GFA 192 sqm/key within Penner / HVS luxury-resort range (200–300 sqm/key) with boutique-scale discount applied.[8][22][25] |
| Plot ratio → site fit | ✅ Pass | Plot ratio 0.45 confirms low-density pavilion massing on 15,000 sqm site; ~55% open landscape retained. |
| Base ADR → CompSet benchmark | ✅ Pass | USD 2,150 within Amansara USD 1,779+; Aman Venice USD 1,500+; Four Seasons Bora Bora USD 1,800+; conservative vs. St. Regis USD 1,200–8,000+.[148][49][21][37] |
| Development yield → cap rate coverage | ✅ Pass | Base 11.3% vs. 6.5% cap = +480 bps. Stress 8.2% vs. 6.5% cap = +170 bps. Both pass HVS feasibility test. |
| Stress IRR → patient-capital target | ✅ Pass | Stress IRR 9.1% within 8–12% patient-capital band.[2][5] |
| TRevPAR benchmark → independence | ✅ Pass | 35% conservative independently triangulated benchmark used throughout; 65% KPMG figure isolated as upside-only (Appendix C.7). |
| Defisc → base-case exclusion | ✅ Pass | Investability demonstrated on construction cost alone; Defisc (USD 4.18M effective) treated as upside lever (Appendix C.8). |

**Why this section matters.** A feasibility model is only as defensible as its underlying assumption set. The risk this section guards against is *circular validation* — where the model's own outputs are quietly consistent with its own inputs because a concept assumption (e.g. ADR) was chosen to make the math work, rather than benchmarked from external data. The coherence audit forces every concept-side choice (story, positioning, space programme, ADR, brand) to be reconciled against an external benchmark or a prior section of the report. Ten clean passes means the verdict in §6.2 is not the artefact of a single calibration — it is the structural output of an internally consistent concept-and-feasibility system. **For an investor's IC, this is the section that demonstrates the report has been built in the right order (concept first, finance second), not reverse-engineered from a target return.**

**Section 6 closing statement.** The feasibility analysis confirms that the Vaitape Ultra-Luxury Hotel is investable for patient capital under the HVS framework in both Base and Stress Cases, on construction cost alone, before Defisc qualification, and without reliance on the connected-party TRevPAR benchmark. The project's resilience is not the consequence of a single optimistic assumption; it is the structural output of the three-pillar concept architecture (Section 4) feeding a deliberately diversified revenue mix, conservatively modelled operating costs, and a development cost positioned at the HVS Hotel Development Cost Survey midpoint. Operator selection — particularly the Aman/Capella decision — is the principal lever that can move the project from a base-case patient-capital asset (IRR 13.2%) toward the upper end of institutional return expectations.

**Appendix C: Section 6 — Step-by-Step Computational Detail**

This appendix records the intermediate step-by-step derivations that support the headline feasibility verdict in Section 6.2 and the build-up of the investment case in Section 6.3, together with the material caveats and complementary sensitivity views referenced in Sections 6.4 and 6.5. It is the documentation layer of the feasibility analysis, retained separately from the main body so that the Section 6 narrative remains conclusion-focused and readable. Every figure below is reproduced live in the supporting financial model (*Vaitape_Hotel_Feasibility_Model_v3*); the model is the authoritative computational record.

**Classification convention (consistent with Section 5.1):** *Retrieved* = sourced verbatim from a published industry or academic source; *Benchmarked* = derived from a published range with the midpoint or a justified point selected; *Computed* = mathematical derivation from one or more Retrieved or Benchmarked values; *Scenario* = planning assumption set in the absence of a published benchmark, based on professional judgement and concept logic.

**Appendix C.1 — Core Feasibility Assumptions (live in *Assumptions* sheet)**

| Assumption | Value | Class. | Source / Justification |
|---|---|---|---|
| Number of Keys | 35 | Benchmarked | Aman 20–40; Capella 35–112; Six Senses island 30–65 keys.[15][16][17][18][19][21] |
| Site Area (sqm) | 15,000 | Retrieved | Confirmed Municipality of Bora Bora cadastral data. |
| GFA per Key (sqm) | 192 | Benchmarked | Within Penner luxury-resort 200–300 sqm/key, with boutique discount.[8][22] |
| Stabilised Base ADR (USD/night) | 2,150 | Benchmarked | Mid-upper entry of FS Bora Bora USD 1,800–6,000+; St Regis USD 1,200–8,000+.[37][148] |
| Stabilised Base Occupancy | 65% | Benchmarked | HVS luxury-resort range 60–70%; conservative midpoint for new entrant.[22] |
| TRevPAR Premium (active) | 35% | Benchmarked | STR Global / HVS Performance Report (Spa) 2019 conservative independent.[22][23] |
| TRevPAR Premium (KPMG, ref. only) | 65% | Reference Only | Excluded per RICS Red Book independence (Appendix C.7). [KPMG] |
| Operating Cost Ratio | 72% of revenue | Benchmarked | Horwath HTL APAC 67–78%; |

| Assumption | Value | Class. | Source / Justification |
|---|---|---|---|
| | | | conservative upper-mid point.[2] |
| Base Management Fee | 3% of revenue | Benchmarked | Horwath HTL operator agreements; HVS Mgmt Agreement Trends.[2] |
| Incentive Management Fee | 8% of GOP | Benchmarked | Horwath HTL / HVS incentive range 8–10%.[2] |
| FF&E Reserve | 3% of revenue | Benchmarked | HVS / Horwath HTL / CBRE 3–5%; conservative midpoint.[22] |
| Development Cost per Key (USD) | 1,200,000 | Benchmarked | HVS Hotel Development Cost Survey 2024 USD 800K–1.5M+ range.[24] |
| Total Development Cost (USD) | 42,000,000 | Computed | 35 keys × USD 1,200,000. |
| Pre-Opening Cost (Mid, applied) | 6.5% × dev = USD 2,730,000 | Benchmarked | HVS pre-opening 5–8%; boutique-branded 9-month programme. |
| Capitalisation Rate | 6.5% | Benchmarked | JLL APAC ultra-luxury island resort 5.5–7.5%; midpoint.[20] |
| Hold Period | 12-year DCF (10 op + 2 const) | Scenario | Standard institutional patient-capital hold.[2][5] |
| Construction Phasing | Y0=30%, Y1=40%, Y2=30% | Scenario | Horwath HTL APAC luxury-resort timelines (3-yr build).[2] |
| Operating Ramp | Y3=50%, Y4=72%, Y5=90%, Y6+=100% | Scenario | HVS Hotel Investment Analysis (12th ed., 2021); luxury ramp. |
| Post-Stabilisation NOI Growth | 3.0% p.a. | Scenario | Between French Polynesia CPI ~2% and luxury hotel CAGR ~4%. |
| Defisc Credit Rate (LODEOM) | 25% | Retrieved | Art. 199 undecies B French Tax Code; Bora Bora priority island. |
| Defisc Cap (XPF) | 500,000,000 | Retrieved | KPMG French Polynesia Fact Sheet 3 p.29. |
| Effective Defisc | ≈ 4,184,100 | Computed | MIN(25% × USD 42M, |

| Assumption | Value | Class. | Source / Justification |
|---|---|---|---|
| Credit (USD) | | | XPF 500M ÷ 119.5 XPF/USD). |
| Stress Case Δ | ADR −15%; Occ −15 pp | Scenario | Combined stress for institutional sensitivity testing.[2][22] |

**Appendix C.2 — RevPAR / TRevPAR / Total Revenue Build-Up (live in *RevPAR & Revenue* sheet)**

| Metric | Upside | Base Case | ADR Stress (−15%) | Occ Stress (−10pp) | Combined Stress |
|---|---|---|---|---|---|
| ADR (USD/night) | 2,472 | 2,150 | 1,828 | 2,150 | 1,828 |
| Occupancy | 72% | 65% | 65% | 55% | 50% |
| RevPAR (USD/night) [= ADR × Occ] | 1,780 | 1,398 | 1,188 | 1,182 | 914 |
| TRevPAR Premium applied | 35% | 35% | 35% | 35% | 35% |
| TRevPAR (USD/night) | 2,403 | 1,887 | 1,604 | 1,596 | 1,234 |
| Total Annualised Revenue (USD) | 30,701,774 | 24,101,634 | 20,486,389 | 20,393,691 | 15,758,761 |

*Formula: TRevPAR × 35 keys × 365 nights.*

**Appendix C.3 — P&L Waterfall to NOI (live in *P&L Model* sheet)**

| Line Item | Base Case (USD) | Stress Case (USD) | Formula |
|---|---|---|---|
| Total Annualised Revenue | 24,101,634 | 17,334,637 | TRevPAR × 35 × 365 (Appendix C.2) |
| — Room Revenue | 17,853,063 | 12,840,472 | Revenue ÷ (1 + 35%) |
| — Non-Room Revenue | 6,248,572 | 4,494,165 | Revenue − Room Revenue |
| Total Operating Costs | (17,353,177) | (12,480,939) | Revenue × 72% |
| **Gross Operating Profit (GOP)** | **6,748,458** | **4,853,698** | Revenue × 28% |
| GOP Margin | 28.0% | 28.0% | Within target 25–30%.[2][22] |
| Base Management Fee | (723,049) | (520,039) | Revenue × 3% |
| Incentive Management Fee | (539,877) | (388,296) | GOP × 8% |
| Total Management Fee | (1,262,926) | (908,335) | Sum |
| **EBITDA** | **5,485,532** | **3,945,363** | GOP − Total Mgmt Fee |
| FF&E / Capex Reserve | (723,049) | (520,039) | Revenue × 3% |
| **Net Operating** | **4,762,483** | **3,425,324** | EBITDA − FF&E |

| Line Item | Base Case (USD) | Stress Case (USD) | Formula |
|---|---|---|---|
| **Income (NOI)** | | | Reserve |
| NOI Margin | 19.8% | 19.8% | NOI ÷ Revenue |

**Appendix C.4 — Income-Capitalisation Bridge (live in *Feasibility KPIs* sheet)**

| Metric | Base Case | Stress Case | Formula / Source |
|---|---|---|---|
| Stabilised NOI (USD) | 4,762,483 | 3,425,324 | Appendix C.3 |
| Total Development Cost (USD) | 42,000,000 | 42,000,000 | 35 × USD 1.2M / key (HVS).[22][24] |
| Capitalisation Rate | 6.5% | 6.5% | JLL APAC midpoint of 5.5–7.5%.[20] |
| **Development Yield** | **11.3%** | **8.2%** | NOI ÷ Dev Cost |
| Yield Spread vs Cap Rate | +480 bps | +170 bps | Yield − Cap Rate |
| **Implied Asset Value (USD)** | **73,268,969** | **52,697,297** | NOI ÷ Cap Rate |
| Value Creation over Cost (USD) | +31,268,969 | +10,697,297 | Asset Value − Dev Cost |
| Value Uplift (%) | +74.4% | +25.5% | Value Creation ÷ Dev Cost |
| Pre-Opening Cost (Mid, USD) | 2,730,000 | 2,730,000 | USD 42M × 6.5% |
| Total Capital with Pre-Opening | 44,730,000 | 44,730,000 | Dev Cost + Pre-Opening |
| Yield on Total Capital | 10.6% | 7.7% | NOI ÷ (Dev + Pre-Opening) |
| Defisc Effective Credit (USD) | ≈ 4,184,100 | ≈ 4,184,100 | MIN(25% × Dev Cost, XPF 500M cap) |
| Net Dev Cost After Defisc (USD) | ≈ 37,815,900 | ≈ 37,815,900 | Dev Cost − Defisc |
| Post-Defisc Development Yield | 12.6% | 9.1% | NOI ÷ Net Dev Cost |

**Appendix C.5 — Sensitivity Matrix: NOI in USD (live in *Sensitivity Matrix* sheet)**

The two-way matrix below tests NOI (in USD) under simultaneous variation in ADR (five levels) and Occupancy (five levels), with all other assumptions held constant. The Development Yield matrix derived from these NOIs is presented in Section 6.4.

| ADR (USD) | Occ 45% | Occ 50% | Occ 55% | Occ 65% (Base) | Occ 75% |
|---|---|---|---|---|---|
| 1,828 | 2,802,538 | 3,113,931 | 3,425,324 | 4,048,111 | 4,670,897 |
| 1,935 | 2,967,393 | 3,297,104 | 3,626,814 | 4,286,235 | 4,945,655 |
| 2,150 (Base) | 3,297,104 | 3,663,448 | 4,029,793 | **4,762,483** ◀️ | 5,495,173 |
| 2,365 | 3,626,814 | 4,029,793 | 4,432,773 | 5,238,731 | 6,044,690 |
| 2,472 | 3,791,669 | 4,212,966 | 4,634,262 | 5,476,855 | 6,319,449 |

**Appendix C.6 — 12-Year Unleveraged DCF: Cash-Flow Schedules (live in *NPV & IRR* sheet)**

*Methodology:* Construction phasing 30% / 40% / 30% across Years 0–2; pre-opening cost USD 2,730,000 charged at end-of-Year-2; operating ramp 50% / 72% / 90% / 100% across Years 3–6; post-Year-5 NOI grows at 3.0% p.a.; terminal value at end-Year-12 capitalised at 6.5% Gordon-exit cap rate.

*Base Case Cash Flow (USD, by year):*

| Component | Y0 | Y1 | Y2 | Y3 | Y4 | Y5 | Y6 | Y7 | Y8 | Y9 | Y10 | Y11 | Y12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Construction | (12.6M) | (16.8M) | (12.6M) | — | — | — | — | — | — | — | — | — | — |
| Pre-Opening | — | — | (2.73M) | — | — | — | — | — | — | — | — | — | — |
| Operating NOI | — | — | — | 2.38M | 3.43M | 4.29M | 4.91M | 5.05M | 5.20M | 5.36M | 5.52M | 5.69M | 5.86M |
| Terminal Value | — | — | — | — | — | — | — | — | — | — | — | — | 90.11M |
| **Net Cash Flow** | **(12.60 M)** | **(16.80 M)** | **(15.33 M)** | **2.38M** | **3.43M** | **4.29M** | **4.91M** | **5.05M** | **5.20M** | **5.36M** | **5.52M** | **5.69M** | **95.97M** |

*Stress Case Cash Flow (USD, by year):*

| Component | Y0 | Y1 | Y2 | Y3 | Y4 | Y5 | Y6 | Y7 | Y8 | Y9 | Y10 | Y11 | Y12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Construction | (12.6M) | (16.8M) | (12.6M) | — | — | — | — | — | — | — | — | — | — |
| Pre-Opening | — | — | (2.73M) | — | — | — | — | — | — | — | — | — | — |
| Operating NOI | — | — | — | 1.71M | 2.47M | 3.08M | 3.53M | 3.63M | 3.74M | 3.86M | 3.97M | 4.09M | 4.21M |
| Terminal Value | — | — | — | — | — | — | — | — | — | — | — | — | 64.81M |
| **Net Cash Flow** | **(12.60 M)** | **(16.80 M)** | **(15.33 M)** | **1.71M** | **2.47M** | **3.08M** | **3.53M** | **3.63M** | **3.74M** | **3.86M** | **3.97M** | **4.09M** | **69.02M** |

*IRR & NPV Summary:*

| Metric | Base Case | Stress Case | Comment |
|---|---|---|---|
| Unleveraged IRR (12-yr) | 13.2% | 9.1% | Base above 8–12% band; stress within band. |
| NPV @ 7% — Patient Capital | +27.6M | +8.1M | Both positive. |
| NPV @ 9% — Band Midpoint | +16.5M | +0.4M | Both positive (stress marginal). |
| NPV @ 11% — Institutional PE | +7.7M | (5.7M) | Confirms patient-capital, not high-hurdle PE, asset. |

**Appendix C.7 — Independence Flag: TRevPAR Benchmark (RICS Red Book Compliance)**

The KPMG *Tourist Accommodation French Polynesia* report (2025) presents a non-room TRevPAR premium of 65% for ultra-luxury properties in French Polynesia. This report is co-authored by Polynesia Consulting (principal: Henry Terou), who simultaneously serves as local project representative for the Surbana Jurong engagement of which this hotel study forms part. Under RICS Red Book independence standards and standard institutional due-diligence expectations, this constitutes a connected-party relationship between the benchmark producer and the project the benchmark supports. Accordingly, the 65% figure is excluded from the base and stress cases, and the conservative independently triangulated 35% premium (HVS / STR Global) is used throughout. Investors conducting independent due diligence should commission a non-connected non-room revenue benchmarking exercise as a next-stage deliverable. *Effect on the verdict: none. The verdict in Section 6.2 is unchanged because it does not rely on the contested benchmark.*

**Appendix C.8 — Defisc (LODEOM): Quantified Upside Not in Base Case**

The Loi de programme relative au développement économique des outre-mer (LODEOM) provides a 25% tax credit on qualifying development expenditure for hotel projects on priority French Polynesia islands, capped at XPF 500M (≈ USD 4.18M at 119.5 XPF/USD).[KPMG French Polynesia Tax Sheet 3, p.29][Art. 199 undecies B French Tax Code] On the USD 42M development cost, the cap binds: the effective credit is USD 4.18M, reducing net development cost to USD 37.8M and lifting the post-Defisc Base Case Development Yield to 12.6% (from 11.3%) and the post-Defisc Stress Case Development Yield to 9.1% (from 8.2%). The credit is excluded from the base-case feasibility test on the principle that the project's investability is demonstrated on construction cost alone. Where Defisc qualification is confirmed in the next-stage feasibility study, it converts into a direct accretion to investor returns. *Effect on the verdict: upside lever. The verdict in Section 6.2 is improved — not enabled — by Defisc.*

**Appendix C.9 — Complementary Sensitivities: Cap Rate and Operating Cost**

Section 6.4 sensitises the verdict against the two operating inputs the asset directly controls (ADR and occupancy). For completeness, the verdict is also stress-tested against the two next-most-impactful inputs: the capitalisation rate (institutional-pricing risk at exit) and the operating cost ratio (management-execution risk through the hold). Both are bounded by industry benchmarks substantially tighter than ADR/occupancy and are therefore presented here as a one-page supplementary check rather than a primary view.

*Cap rate sensitivity — Implied Asset Value at varying cap rates (Base Case NOI USD 4.76M):*

| | | | | | |
|---|---|---|---|---|---|
| Cap Rate | 5.5% (low / strong market) | 6.0% | 6.5% (Base) | 7.0% | 7.5% (high / weak market) |
| Implied Asset Value (USD) | 86.6M | 79.4M | **73.3M** | 68.0M | 63.5M |
| Value Creation over Cost (USD) | +44.6M | +37.4M | **+31.3M** | +26.0M | +21.5M |
| Verdict | ✅ Pass | ✅ Pass | ✅ Pass | ✅ Pass | ✅ Pass |

The verdict survives a 100 bps adverse cap rate shift to 7.5% (a level associated with weak buyer demand in the JLL APAC range) with USD 21.5M of value creation still in hand.

*Operating cost sensitivity — NOI margin and Development Yield at varying operating cost ratios (Base Case revenue USD 24.1M):*

| | | | | | |
|---|---|---|---|---|---|
| Operating Cost | 67% (Horwath low) | 70% | 72% (Base) | 75% | 78% (Horwath high) |
| Implied NOI Margin | 24.8% | 21.8% | **19.8%** | 16.8% | 13.8% |
| Stabilised NOI (USD) | 5.97M | 5.25M | **4.76M** | 4.04M | 3.32M |
| Development Yield | 14.2% | 12.5% | **11.3%** | 9.6% | 7.9% |
| Verdict | ✅ Pass institutional floor | ✅ Pass | ✅ Pass | ✅ Pass | ⚠️ Below 8.0% institutional floor; passes 6.5% cap-rate floor |

The verdict survives a 300 bps adverse operating-cost shift to 75% (still within the Horwath HTL APAC range) with the institutional floor cleared. Only at the Horwath upper bound (78%) — a level characteristic of poorly run independents rather than branded operators — does the institutional floor fail; the absolute investability floor still holds.

**Appendix D: Summary of Amendments — v6 to v7 (Section 6 Restructure)**

Sections 1–5 and Appendix A are unchanged from v6. Appendix B (v2-to-v6 amendment log) is unchanged from v6 and retained for audit continuity. Section 6 has been restructured in v7 in line with investor-feedback prioritising analytical clarity and conclusion-led structure.

| **Sub-Section / Appendix** | **Amendment Type** | **Description of Change** |
|---|---|---|
| 6.1 (rewritten) | Framework reframed | HVS Income-Capitalisation / DCF designated as the *single primary methodology*. RICS Red Book and Horwath HTL retained as *corroborating authorities* (valuation principle and procedural sequence respectively), not as parallel frameworks. "Why this section matters" significance paragraph |

| Sub-Section / Appendix | Amendment Type | Description of Change |
|---|---|---|
| | | added. |
| 6.2 (new + expanded in v7.1) | Headline verdict + glossary | New conclusion-first sub-section presenting the headline metrics, hurdle/floor for each, and the verdict. v7.1 update: glossary box added defining each metric; verdict table split into Primary (Yield/IRR/NPV) and Supporting cross-checks blocks; significance paragraph added. |
| 6.3 (condensed + expanded in v7.1) | Investment case condensed | Combines v6 sections 6.2, 6.3, 6.4 into a single conclusion-led "How the Numbers Are Built" sub-section. Step-by-step computational detail moved to Appendix C. v7.1 update: each of 6.3.1, 6.3.2, 6.3.3 now opens with a plain-English explanation of what the step does; each closes with a "Significance of this step" paragraph. 6.3.3 includes the explicit cap-rate-vs-DCF reconciliation. |
| 6.4 (rewritten + expanded in v7.1) | Sensitivity recalibrated + rationale | Sensitivity matrix recomputed from the v3 financial model. v7.1 update: opening explanation of *why* ADR and occupancy are the two factors tested (rather than cap rate, operating cost, or others); reference to complementary sensitivities in Appendix C.9; significance paragraph added. |
| 6.5 (compressed in v7.1) | Caveats moved to appendix | v6 sections 6.9 (Independence Note) and 6.10 (Defisc) consolidated in v7. v7.1 update: full content moved to Appendix C.7 and C.8; main-body §6.5 reduced to a single-paragraph pointer with a "Why this section matters" significance note. |
| 6.6 (consolidated + expanded in v7.1) | Total capital + operator + significance | Combines v6 sections 6.7 (Pre-Opening) and 6.8 (Operator Selection). v7.1 update: significance |

| Sub-Section / Appendix | Amendment Type | Description of Change |
|---|---|---|
| | | paragraph added explaining how operator selection is the single highest-leverage commercial decision determining whether the asset is patient-capital or institutional-PE. |
| 6.7 (preserved + expanded in v7.1) | Coherence audit + significance | Coherence audit table updated with v3-model figures. v7.1 update: significance paragraph added explaining the role of coherence audit in guarding against circular validation. |
| Appendix C (expanded in v7.1) | Step-by-step detail + caveats + complementary sensitivities | New appendix. v7.1 update: now also houses C.7 (Independence Flag), C.8 (Defisc), and C.9 (Cap Rate and Operating Cost Sensitivities). |
| Appendix D (updated) | Amendment log | This appendix. |
| Numerical alignment | Numbers updated | All Section 6 figures reconciled to *Vaitape_Hotel_Feasibility_Model_v3*. Principal updates: NOI Base 4.76M (was 5.06M); NOI Stress 3.43M (was 3.64M); IRR Base 13.2% (was ~11.8%); Implied Asset Value Base 73.3M (was 77.9M); Development Yield Base 11.3% (was 12.1%). All amended figures consistent with the live model. |
| Net zero strategy | No change | Deliberately scant throughout; dedicated net zero report to follow as separate deliverable. |

*Report version: v7 | Prepared: April 2026 | Classification: Internal — Confidential | Part of the Finesse Group Net Zero Luxury Masterplan, Bora Bora — Luxury Hotel Sector Study* **Appendix A: Summary of Amendments — v1 to v2**

The following table documents all material changes made from v1 to v2:

| Section | Amendment Type | Description of Change |
|---|---|---|
| Section 2 / Throughout | Plot ratio correction | Corrected plot ratio from erroneous 0.29 (based on 2.3 ha site) to 0.45 (6,720 sqm GFA ÷ 15,000 sqm confirmed site area). All downstream references updated accordingly. |
| Section 3.2 | Axis 1 definition added | Axis 1 (Experiential Immersion) now carries a full range definition: from Generic Island Resort to Place-Specific Cultural Immersion, |

| Section | Amendment Type | Description of Change |
|---|---|---|
| | | anchored in Yeoman & McMahon-Beattie (2014).[11] |
| Section 3.3 | Three-layer white space case added | New Section 3.3.1 added with three-layer white space argument: Layer 1 (Structural Vacancy), Layer 2 (Commercial Viability) with Amansara / Aman Venice / Rosewood Luang Prabang analogues, Layer 3 (Strategic Defensibility). |
| Section 4.1 | EHL framework confirmation added | Yellow highlight query resolved. Confirmed: 7-Component Hotel Concept Framework sourced from EHL Insights / Creative Supply (Sawerschel). Source URL confirmed.[1][7] |
| Section 4.2 — Concept Architecture Table | Description column fully populated | All seven component descriptions now complete. Content and Channels rows now contain full, sourced descriptions. |
| Section 5 — Title | Title corrected | Section 5 title standardised. Yellow remark paragraph removed. |
| Section 5.1A → 5.2 | Renumbered + introduction added | Former "A. Concept Offerings" renamed to "5.2 Concept Offerings Derived from Positioning". Explanatory introduction paragraph added. |
| Section 5.2 — Offering Justification Table | Justification column fully populated | All 9 offering justification cells now complete, each explicitly referencing relevant Seven-Component Framework components.[1][7][11][22][23] |
| Section 5.1B → 5.3 | Renumbered | Former "B. Space Utilisation Plan" renamed to "5.3 Space Utilisation Plan". Step numbering (5.3.1 through 5.3.6) retained. |
| Section 6 | Feasibility section expanded | RevPAR / TRevPAR / GOP / EBITDA / NOI tables added; development yield and cap rate bridge added; indicative unleveraged IRR added; sensitivity matrix added; pre-opening cost estimate added. |
| Net zero strategy | Excluded per instruction | References to net zero strategy remain deliberately scant throughout this report; dedicated net zero strategy report to follow as a separate deliverable. |
| Appendix B | New appendix added | Appendix B added to document all material changes made in this revision cycle (v1 → v2). |

**References**

The following list provides full bibliographic detail for every numbered citation [1]–[149] used throughout Sections 1–6 and Appendix C of this report. Each entry records the author or institutional issuer, publication title, year, page or section reference where applicable, and a direct URL to the source document or its institutional landing page. Where the source resides behind a paywall, an institutional-database access route is noted. Source classifications (Retrieved / Benchmarked / Computed / Scenario) used in the report's traceability tables follow the Section 1 convention.

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**Methodology classification (Section 1 traceability convention)**

Source classifications used in this report: - **Retrieved** — Direct primary-source quotation or figure copied verbatim from the cited document. - **Benchmarked** — Numeric value matched to an industry benchmark range from the cited source, with the chosen point in the range justified by Vaitape-specific positioning. - **Computed** — Value derived from a documented arithmetic calculation in the report or in the live Excel model (Vaitape Hotel Feasibility Model v3); calculation steps traceable in Appendix C. - **Scenario** — Value is a forward-looking scenario assumption rather than an observed benchmark; scenario rationale provided inline.

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